

Mispricing Narratives After Social Unrest^{*}

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Abstract

We show how public outcry directed at an industry can shape beliefs about the value of related firms, focusing on US racial justice protests and the “defund the police” movement. Using a nationally representative survey, we find limited public support for defunding, although protest exposure increases willingness to cut police funding. In a survey experiment, laypeople and finance professionals predict negative stock price outcomes for police-linked firms when given incomplete information. Narrative information about protests does not improve these predictions, but exposure to details about policing firms’ products—training, body cameras, and related technologies—significantly improves forecasts. Our findings show how information shapes perceptions of contentious movements and expose a disconnect between public perceptions of firms’ performance and the firms’ actual prospects.

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1 Introduction

When valuing firms, how do stakeholders interpret market reactions to future policies, and how do they respond to narratives surrounding those policies? The interplay between these narratives and industry fundamentals crucially shapes investor reasoning and public perceptions (Shiller, 2017).¹ Understanding how stakeholders process and react to available information is essential to accurately assess the implications for policy and firm performance.

We study how stakeholder beliefs respond to events negatively affecting an industry, focusing on the demands for racial justice following George Floyd’s murder, which sparked the largest protests in US history (New York Times (2020)). Although support for police funding fell by more than 4 percentage points (pp) in protest areas, it remained high enough to leave the views of the median voter unchanged, making defunding unlikely. However, stakeholders believed that the protests would harm firms that supply police products. In a survey experiment, we show that laypeople and finance experts overestimated stock declines for these firms, especially when exposed to defund-related narratives. Exposure to detailed product information improved forecast accuracy, revealing how misperceptions arise and persist.

Understanding the impact of unexpected events on companies and industries requires examining the interplay of narratives, expertise, and public opinion. It involves distinguishing between short- and long-term effects while untangling beliefs, preferences, and outcomes. Our aim is to identify significant events that alter social norms and negatively impact related institutions and firms (Bénabou and Tirole, 2010; Hart et al., 2022). We aim to evaluate the beliefs and reasoning of key stakeholders—laypeople and finance professionals—using a plausibly objective measure of immediate expectations and long-term outcomes, i.e., stock performance (Wolfers and Zitzewitz, 2004; Arrow et al., 2008).

We address this challenge by examining the impact of the 2020 racial justice protests following the murder of George Floyd and the defund movement focused on policing policies (Bursztyn et al., 2020). We base our work on Ba et al. (2023), which finds that public companies connected to the police experienced a short-term increase in market returns, reflecting investor optimism over their prospects. Over time, these firms benefited from increased sales and greater demand for surveillance and accountability tools, suggesting that markets anticipated greater investment in law enforcement despite the calls for divestment.²

First, we document limited public support for defunding the police, indicating that significant

¹Events such as elections, wars, coups, and protests lead to diverse interpretations and implications, with the stock market serving as an information aggregator that balances immediate reactions with long-term outcomes. See papers on stock market responses to political events (Fisman, 2001; Knight, 2006; Acemoglu et al., 2016), climate risks (Baldauf et al., 2020; Goldsmith-Pinkham et al., 2023), conflicts (Guidolin and La Ferrara, 2007; DellaVigna and Ferrara, 2010; Dube et al., 2011) and protests (Acemoglu et al., 2018; Barrett et al., 2024).

²This approach aligns with that in Wolfers and Zitzewitz (2004), where stock prices are taken to reveal investor expectations, similarly to how market data have been used to assess the impact of major geopolitical events (Wolfers and Zitzewitz, 2009).

funding cuts are unlikely. Using nationally representative data from the Cooperative Election Study (CES), we analyze how the defund movement influenced public opinion on police funding. We adopt an event-study approach that compares respondents in areas with and without Black Lives Matter (BLM) protests after the murder of George Floyd and reveal that 93% of respondents in nonprotest areas supported maintaining or increasing police funding. In areas exposed to protests, support decreased by 4.3 pp ($p < 0.01$) in 2020 but remained high overall. The continued support of the median voter for maintaining police budgets indicates the limited public support for substantial funding cuts despite the heightened discourse surrounding the defund movement.

Second, we conduct a survey experiment to gather predictions from more than 2,300 nonexperts—citizens who influence policymaking through their votes—and nearly 500 finance professionals on the stock performance of police-connected firms after the murder of George Floyd. Our goal was to understand “who knows what” (DellaVigna and Pope, 2018) and identify the information that matters when people predict stock prices and attempt to infer the direction of future policies (Wolfers and Zitzewitz, 2004). We randomly assigned respondents to one of four groups: One received minimal information with a forecast prompt, one received a comprehensive background including both narrative and product details, and the other two received narrative information about police defunding and reform or product details about police-related firms.

We designed the information treatments to examine how narrative framing and factual product information influence market predictions given the unclear impact of the protests following George Floyd’s murder on firms contracting with the police. The narrative treatment highlighted protests, debates on police reform, the defund movement (Bursztyn et al., 2023), and concerns about unrest, crime, and homicides (Rivera and Ba, 2018; Premkumar, 2019). In contrast, the product information treatments provided factual details about companies that supply training, body cameras, and surveillance equipment (Ba et al., 2023). This setup allowed us to compare how (potentially subjective) narrative versus firms business information shapes expectations about the market performance of police-linked firms and informs public policy.

Our experiment shows that with minimal information, only 16% of laypeople and 29% of finance professionals expected police-related firms’ portfolios to rise after George Floyd’s murder, reflecting the belief that the defund movement would harm these firms. Providing product information—a proxy for firms’ business model rather than narrative information—shifted these views, increasing the likelihood of predicting a rise by over 30 pp for both groups. Nonetheless, even with product information, no consensus emerged on whether the firms’ values would increase, revealing persistent uncertainty. This contrasts with the limited public support for police funding cuts (see Figure 2), and the behavior of financial markets, which remain optimistic about police-connected firms amid rising demand for police products (Ba et al., 2023). Exposure to narratives alone led to inaccurate beliefs about protest impacts, while exposure to product information partially corrected these misperceptions. This suggests that narratives can distort understanding and highlights the importance of accurate information in shaping beliefs.

Next, to understand how information shapes beliefs, we examined how respondents process information by analyzing what is “top of mind” for them. The responses varied by treatment group and expertise. To study belief formation, we coded reasoning into categories such as *budget cuts*, *reform*, and *less trust* in police.³ Exposure to information of different types produced distinct effects: Nonexperts given product details cited *less trust* less often and shifted toward *reform*, with this shift being amplified when narrative and product information were combined. Finance professionals, by contrast, focused more on *reform* with product details alone, and narratives had little additional effect. Overall, nonexperts were more influenced by the combined information, while finance professionals relied on product specifics. Product information reduced the salience of defund-related narratives by decreasing mentions of *budget cuts* and *less trust*.

Literature Review Our paper explores how beliefs and behaviors respond to policies affecting minority groups (Cascio and Washington, 2013; Haaland and Roth, 2021; Alesina et al., 2021; Bohren et al., 2023), situating recent racial equity movements such as BLM alongside the civil rights movement and earlier policing-related unrest in US cities (DiPasquale and Glaeser, 1998; Cunningham and Gillezeau, 2019; Wasow, 2020), which had lasting effects on political attitudes and resource allocation (Mazumder, 2018; Derenoncourt, 2022). Motivated by the unique influence of BLM and the George Floyd protests on public opinion and voting (Gethin and Pons, 2024),⁴ we focus on policing—the core target of activism for BLM (Bursztyn et al., 2023; Ba et al., 2023)—to examine the racial, political and social implications of this activism in the US (Ang and Tebes, 2020; Grosjean et al., 2022; Chenoweth et al., 2022) and its impact on corporate behavior and firm performance (Bogan et al., 2021; Aneja et al., 2023; Denes and Seppi, 2023; Garcia and Ortega, 2024). Our work clarifies public and expert beliefs about the impact of these race-related social movements on policing and their actual support for law enforcement policies.

Second, we contribute to the literature on the role of narratives and information processing in shaping beliefs (Shiller, 2017; Eliaz and Spiegler, 2020; Schwartzstein and Sunderam, 2021) and decision-making regarding economic outcomes (Perez-Truglia, 2020; Andre et al., 2021, 2022, 2023; Flynn and Sastry, 2022), political behavior (DellaVigna and Kaplan, 2007; Enikolopov et al., 2011), health (Bursztyn et al., 2022), and policy support (Djourelouva, 2023; Durante et al., 2024). Our work is particularly relevant to the literature on narratives related to public safety and their implications (Philippe and Ouss, 2018; Grosjean et al., 2022; Mastroiocco and Ornaghi, 2023) for funding allocations and accountability of public servants (Moreno-Medina et al., 2022).

Finally, our paper contributes to the literature examining firm-level exposure to risks and stakeholders’ beliefs and responses to these risks,⁵ particularly those driven by nonpecuniary motives

³Community organizers and police officers, with on-the-ground expertise, emphasized *reform* and accountability measures and predicted increases in police stock prices. (See Section B.2 and Figure A.6.)

⁴Other movements focused on environmental protection, gender equality, gun control, immigration, and racial issues have not significantly shifted public opinion or behavior (Gethin and Pons, 2024).

⁵Recent studies have explored investors’ financial beliefs or preferences using survey experiments (Hanspal et al.,

(Hong and Kacperczyk, 2009; Hart and Zingales, 2017) and social issues (Hart et al., 2022). Such motives can lead stakeholders to divest from companies in controversial industries (Bénabou and Tirole, 2010; Fisman et al., 2014). We examine responses to racial uprisings in the US, where the link between protests, financial outcomes, and shifting societal norms—such as debates over “defunding the police” (Bursztyn et al., 2023)—remains underexplored, with preferences often concealed under societal pressures (Kuran, 1995). Moreover, negative publicity typically lowers stock prices by reducing demand, but public services such as policing are insulated from market pressures (Hart et al., 1997). The strong public support for police funding, despite the criticisms, makes cuts unlikely, showing that the industry is less vulnerable to societal disapproval than “sin stocks” such as tobacco, firearms, or private prisons (Hong and Kacperczyk, 2009; Blitz and Fabozzi, 2017; Yegen, 2020).

Plan The remainder of this paper is structured as follows. In the next section, we provide a brief overview of the year 2020. Section 3 presents how the George Floyd protests impacted support for police funding. Section 4 examines the impact of an information treatment on the forecasts of nonexperts and finance professionals. Section 5 focuses on the forecasts’ underlying reasoning and the mechanism through which they are shaped by the information treatment. Finally, we conclude with a discussion of the implications of our findings.

2 Background: 2020 Protests and Their Salience

As illustrated in Figure 1 through spikes in Wikipedia pageviews, 2020 was a year of pivotal events that reshaped global and national policies. The COVID-19 pandemic prompted widespread health and economic reforms, while the murder of George Floyd triggered widespread BLM protests and renewed focus on law enforcement and civil rights reforms. The US presidential election, dominated by debates surrounding then-president Donald Trump, further fueled political engagement. Together, these events increased public participation and laid the groundwork for possible policy changes, particularly in response to the calls for police reform.

Floyd’s death had a profound impact on public discourse, sparking widespread protests and critical policy debates that underscored the urgency of policing and racial justice reforms. The bottom panels of Figure 1 highlight the influence of the defund movement, as marked by the surge in *New York Times* articles discussing police-related topics and the slogan itself. Similarly, Wikipedia searches for “defund the police” spiked in June 2020, surpassing searches for “police reform,” while interest in “police brutality” remained steady. These trends indicate a significant shift in public attention and media coverage toward issues related to reducing police funding.

The heightened salience of “defund the police” may have contributed to overreactions (Bordalo 2021; Stroebel and Wurgler, 2021; Giglio et al., 2021a,b) and structural modeling (Baker et al., 2022).

et al., 2022) shaped by media outlets’ subjectivity in framing the movement rather than objective descriptions of the policing industry or the policies associated with the protests. In contrast, product-related terms such as “body-worn camera” and “surveillance systems” offer more descriptive insights into what this industry does and the underlying policies that shape it. In the next section, we test how different types of information—narrative versus product details—shape beliefs and expectations about police-related industries.

3 Voter Support: Is Defunding Feasible?

The murder of George Floyd and the rise of the defund movement sparked nationwide debates over law enforcement budgets. This section examines whether these events led to measurable shifts in voter attitudes toward reducing or maintaining police funding. By analyzing public opinion following protest exposure, we address the central question: “Should we expect the police to be defunded?” This sets the stage for understanding public preferences on police funding and exploring how the salience of the “defund” slogan may have driven overreactions in decision-making or beliefs.

3.1 Data, Sample Selection, and Descriptives

Drawing on the idea there is a relationship between political attitudes and financial markets (Jha and Shayo, 2019), we use the post-election wave of the CES, a nationally representative survey conducted in November of each election year from 2014 to 2022 (Kuriwaki, 2023; Schaffner et al., 2023). The CES collects data on respondents’ political perspectives, demographics, and views on state legislature decisions regarding funding adjustments for sectors such as law enforcement (Mazumder, 2019; Chyn et al., 2022). We exclude observations with missing respondent location information.

We merged the CES data with county-level BLM protest data to measure respondents’ exposure to the protests following George Floyd’s murder, using zip code to identify respondents’ county of residence. We then combined these with data from the GDELT Project⁶ and Mapping Police Violence (MPV)⁷ to track protests linked to police killings. We matched police killings from MPV to protests in GDELT, identifying law enforcement agencies and locations nationwide during summer 2020. The key variable indicates whether the protests were sparked by police killings after George Floyd’s murder between May 25 and July 31, 2020. Our final sample includes 233,434 respondents, of whom 133,837 were exposed to protests.

We present the characteristics of the CES respondents in Appendix Table A.1, distinguishing those exposed to BLM protests between May 25 and July 31, 2020, from those not exposed. In

⁶Details available at www.gdeltproject.org.

⁷Details available at mappingpoliceviolence.us.

general, the sample includes a balanced mix of married and employed respondents, a range of educational levels from some college to postgraduate degrees, and a distribution across different income brackets. When we segment by protest exposure, we find that exposed respondents tend to have higher shares of Black and Hispanic individuals, higher employment rates, and a higher likelihood of reporting incomes above \$150K than the unexposed.

3.2 Empirical Strategy

We estimate the impact of the George Floyd protests on public support for maintaining or increasing funding by estimating the following equation:

$$NoDefund_{ict} = \alpha + \sum_t D_t \cdot AnyProtest_c \cdot \beta_t + X_i' \delta + \lambda_c + \gamma_t + \epsilon_{ict} \quad (1)$$

where $NoDefund_{ict}$ denotes the view of respondent i in county c during year t . This dependent variable reflects whether the respondent endorses action by her state legislature to maintain or increase law enforcement funding. The variable $AnyProtest_c$ equals one if county c has a law enforcement agency that experienced BLM protests between May 25 and July 31, 2020, and zero otherwise. We interact this protest dummy with our year dummies, D_t , with 2018 being the reference year. Furthermore, we control for respondent characteristics, denoted by X_i .⁸ County and year fixed effects are captured by λ_c and γ_t . The error term is captured by ϵ_{ict} , and standard errors are clustered at the county level.

The key parameters, β_t , capture the temporal variations in the average results with respect to those for 2018 and are compared to the results for counties without BLM protests. Our identification strategy is premised on the assumption of parallel trends. Specifically, we assume that absent the 2020 events, regions with and without protests would have exhibited similar trends in support for police budgets. This implies that areas with protests in 2020 did not inherently differ in their historical support for budget increases, as evidenced by the data for 2014, 2016, and 2018, from areas without.⁹

3.3 Results

Figure 2 illustrates the effect of BLM protests between May 25 and July 31, 2020, on public support for maintaining or increasing police funding. The raw estimates, shown in the left panel, highlight

⁸The controls are demographics, marital status, education, income, and employment status. We provide the details in Table A.1.

⁹Moreover, we present the difference-in-difference (DID) β coefficient from the following equation, applicable to both the main sample and the heterogeneity analysis: $NoDefund_{ict} = \alpha + Post_t \cdot AnyProtest_c \cdot \beta + X_i' \delta + \lambda_c + \gamma_t + \epsilon_{ict}$, where $Post_t$ equals one for the years 2020 and 2022 if the respondent took the survey after the murder of George Floyd and zero otherwise.

that voter support for maintaining or increasing police funding remains overwhelmingly high, with a baseline mean of 93% in areas without protests. This indicates a widespread preference against defunding the police.

Additionally, the DiD estimates in the right panel reveal a statistically significant reduction in support for maintaining or increasing police funding among respondents exposed to protests, with a decrease of 4.3 pp in 2020 ($p < 0.01$). However, this decline, while notable, was insufficient to shift the broader public stance toward defunding the police. Even in areas exposed to protests, most voters continued to support maintaining or increasing police budgets, underscoring the limited impact of protest exposure on public opinion.

Taken together, these results demonstrate that while the protests reduced support for maintaining police funding, strong baseline support among voters ensures that significant defunding remains unlikely. The persistence of these attitudes reinforces the view that the median voter continues to favor police funding despite the heightened discourse surrounding the defund movement.

4 Experiment: How Information Shapes Forecasts

Understanding how information shapes expectations, we designed an experiment to isolate the impact of narratives versus product details on market predictions. This section outlines the survey design, treatments, and incentives used to study expectations about firms contracting with police after social unrest.

4.1 Experimental Design

Overview and Logistics We conducted an online experiment using Prolific from December 20 to 28, 2022, and registered our hypotheses and analysis design with the AEA registry (AECTR-0010670) and AsPredicted (#117117). The baseline survey ran from December 20 to 23 and was supplemented by a follow-up from December 27 to 28. Participants, who had to be voting-age residents of the United States and fluent in English, received approximately \$0.50 for the baseline survey, which could be completed in less than 3 minutes, and \$1.20 for the 8-minute follow-up, totaling \$1.56 for both surveys, contingent on their completing the survey and passing the attention checks.

Survey Structure To address experimenter demand effect, we designed the Prolific survey in two parts, following the methods of [Haaland and Roth \(2020, 2021\)](#). The baseline survey and a follow-up survey were conducted one week apart, with randomized information treatments applied in the follow-up. We tried to minimize any perceived connection between the two surveys by differentiating style elements such as fonts and backgrounds.

The baseline survey collected demographic information and views on ethical investing, invest-

ment experience, and political leaning.¹⁰ In the follow-up, participants completed prediction tasks after randomization into one of four groups defined by a 2×2 factorial design corresponding to $\{\text{Narrative, No Narrative}\} \times \{\text{Product, No Product}\}$. Participants predicted stock movements after George Floyd’s death and could revise these predictions.¹¹

In addition to the Prolific survey, we conducted a parallel survey of professionals in the finance sector. Respondents in this industry were invited via email to participate in a Qualtrics survey. In contrast to the Prolific survey, this survey was administered in a single phase rather than with a baseline and a subsequent survey.

Incentives to Provide Accurate Answers Each prediction received an accuracy score, and participants were randomly selected to receive a bonus payment based on their prediction accuracy. Moreover, we followed Alesina et al. (2018); Bursztyn et al. (2020) by using an incentive-compatible outcome, i.e., donation, to minimize possible experimenter demand effects. Hence, we told respondents that randomly selected participants who earned the bonus would also be able to donate up to \$10 to a charity. If selected, a respondent could choose to divide the \$10 charity payment between herself and a nonprofit organization. Finally, if they wanted to donate, we asked respondents for their choice of nonprofit organization.

Treatment Arms and Randomization Ex ante, it is unclear what sign we should expect for the impact of the protests following George Floyd’s murder on the market valuations of firms heavily contracting with police. This ambiguity stems from the interplay of various factors, including the calls for police reform, concerns about rising crime, and the defund movement, in shaping market expectations.¹² Figure 1 indicates that public discourse leans more toward discussion of broad policy and budgetary issues than toward discussion of the application of specific law enforcement technologies or products.¹³ This narrative focus could shape both market expectations and policy debates.

To disentangle these effects, we designed treatments to assess how different types of information influenced participant predictions for the impact of the summer 2020 protests. We employed a 2×2 factorial experimental design to examine the effects of two key variables: narrative information and product information. The randomization was implemented with Qualtrics’s “evenly present elements” functionality. Following Figure A.1, the participants were first randomly assigned to one of the two narrative conditions that emphasize the views of various stakeholders:

¹⁰The baseline survey questions are available [here](#).

¹¹The follow-up survey questions are available [here](#).

¹²On narratives associated with viral killings by police in economics, see Rivera and Ba (2018); Premkumar (2019) and Ang et al. (2021).

¹³For instance, from Figure 1, we might conclude that media focus suggests that public discussion was more concentrated on defunding than on police reforms as captured by terms specific to technologies or products utilized by law enforcement agencies.

- **No narrative:** “On May 25th, police officers killed George Floyd, an event that led to massive protests across the country starting on May 26th.”
- **Narrative:** “On May 25th, police specialists killed George Floyd, an event that led to massive protests across the country starting on May 26th. In particular, local policymakers and activists advocated ‘reforming the police’ by investing in more accountability tools such as training, body-worn cameras, or early-warning systems to detect police misconduct. However, many opponents argued that some of these demands would lead to more unrest and a rise in crime, particularly homicide rates. Finally, some activists and policymakers advocated ‘defunding the police’ by shifting funds from police departments to nonpolicing alternatives (e.g., investment in housing, mental health resources).”

The participants were then randomly assigned to one of the two product conditions, which emphasized the technologies and products used by the police.

- **No product:** “We constructed a portfolio consisting of twenty publicly traded companies that contract intensively with police departments.”
- **Product:** “We constructed a portfolio consisting of twenty publicly traded companies that contract intensively with police departments. Companies in this portfolio sell various products to police departments, including training, body-worn cameras, surveillance equipment, firearms, etc.”

The interaction of the treatment arms results in participants’ being randomly assigned to one of four conditions: (1) *No Information*, (2) *Narrative Only* (exposed only to narrative information), (3) *Product Only* (exposed only to product information), and (4) *Narrative and Product* (exposed to both types of information). This design enables us to isolate the separate impacts of narrative and product information on the public’s market expectations.

Empirical Specification We analyze the impact of the information treatments on various outcomes using the following ordinary least squares (OLS) specification:

$$y_i = \alpha_0 + \theta_1 Products_i + \theta_2 Narratives_i + \theta_3 Narratives_Products_i + X_i' \gamma + \epsilon_i \quad (2)$$

where outcome y_i of respondent i is a function of each treatment condition. The variable $Narratives_i$ is a binary variable that equals one if the respondent received the narrative treatment and zero otherwise. The variable $Products_i$ is a binary variable that equals one if the respondent received information about the products in the portfolio and zero otherwise. The variable $Narratives_Products_i$ designates the respondents who received both the product and the narrative information. The reference group consists of respondents who received neither the narrative nor the product information

treatments. We also refer to the omitted group as the reference. In addition, in X_i , we control for the individual covariates collected in the baseline survey. We use robust standard errors because we randomized at the individual level.

Our primary preregistered outcome, y_i , captures the respondents’ prediction accuracy. We focus on two main accuracy measures as our primary outcomes. The first is whether the respondent correctly predicted an increase in price, defined as a forecast greater than \$100. The second is the negative absolute prediction error, calculated as the difference between the respondent’s forecast and the actual portfolio realization of \$116.5 (Ba et al., 2023).¹⁴

4.2 Main Results: Which Information Matters?

Summary Statistics Our study involved respondents who met our eligibility criteria and completed both the baseline and follow-up surveys. For those in the finance industry, the results from the two surveys were combined. Participants who failed the attention checks or did not complete the comprehension question were excluded from the analysis. The summary statistics, disaggregated by treatment condition, are detailed in Table 1. Panel A focuses on nonexperts, while Panel B focuses on finance professionals, for a total of 2,346 nonexperts and 467 finance professionals. The tables show the average values for each variable across the total sample in Column (1) and for each treatment arm in Columns (2) to (5), with the last column testing equality of means across conditions.

Demographically, 44% of the nonexpert respondents are women, while 20% are women in the finance group. Most respondents (90%) were born in the US, and the sample is predominantly white (72% in the nonexpert group and 84% among finance professionals). Nonexperts are generally younger and completed the survey faster. Over two-thirds of the finance professionals reported checking their investments weekly, versus one-third of the nonexperts. While there is a general balance in characteristics across conditions, the “*Narratives_Products*” arm in the nonexpert sample shows a lower percentage of women and US-born respondents.

Main Results: Accuracy of Portfolio Predictions Table 2 presents the results for the effect of the information treatments on prediction accuracy (Equation 2) in Columns (1) and (2) for the nonexperts and finance experts, respectively. For nonexperts, the product information treatment led to a 32.2 pp ($SE = 0.0258$) increase in likelihood of predicting stock increases (Column (1)), a substantial rise over the baseline probability of 0.16. When both product and narrative information were provided, the likelihood increased marginally more to 34.4 pp ($SE = 0.0257$). Interestingly, exposure to only the narrative information did not have a large or significant effect on predictions among nonexperts.

¹⁴Prediction error is defined as the absolute difference between the actual price and the respondent’s forecast.

Among finance professionals, we observe a different pattern. First, compared to nonexperts, finance experts without information are likelier to predict an increase in the portfolio value with a baseline mean of 0.29. The product-only treatment increased their likelihood of making an accurate prediction by 35 pp ($SE = 0.0614$), and the combined narrative–product information treatment yielded a more muted but still large increase of 24.1 pp in the probability of predicting an increase in portfolio value. The narrative-only treatment had a negative impact, reducing the likelihood of correctly predicting a portfolio increase by 5.99 pp, although this is not significant.

The magnitude of errors—negative absolute errors in predictions—also varied (Columns (3) and (4)). Nonexperts had an increase in errors of 10.27 pp in the product information treatment and of 12.76 pp in the treatment with both the narrative and the product information, indicating that while they were likelier to predict an increase in this treatment, their precision did not necessarily improve. For finance professionals, the errors were significantly lower when they were exposed only to product information (7.18 pp ($SE = 1.862$)).

The influence of the type of information on financial prediction is clear from these results. Access to detailed product information substantially improved the likelihood of both nonexperts and finance professionals accurately predicting stock price increases. However, exposure to only narrative information could lead to prediction errors, particularly among nonexperts. Finance professionals, on the other hand, showed enhanced prediction accuracy only when they had access to product information. This highlights a stark difference in how narrative and product information is processed across expertise levels: Nonexperts benefit from comprehensive information, while finance professionals rely on specifics about product details to make accurate predictions. The result suggests that precise product knowledge, rather than general narratives, proved key to anticipating growth in the policing sector following the high-profile grassroots uprisings of summer 2020.

5 Mechanism on Belief Formation

This section investigates how various stakeholders interpreted information related to the murder of George Floyd and its implications for police policy. We examine the influence of narrative and product details on their reasoning and assess how information and framing shaped their perspectives. Furthermore, we introduce a measure of what was top of mind for these stakeholders (Stantcheva, 2023; Haaland et al., 2024) to identify the mechanisms associated with their perspective on the protests of summer 2020. This approach helps clarify how different narrative and product information impacts stakeholders’ beliefs.

5.1 Identifying Respondents’ Reasoning

To qualitatively analyze respondents’ reasoning, we exploit that our surveys asked them to explain their main prediction (Andre et al., 2021, 2022). We chose to handcode the responses rather

than use large-language models because the reasons were often subtly embedded and included in open-ended responses. We manually coded the responses of nearly 3,000 participants using a procedure designed specifically for our context. The coding identified ten common themes in open-text explanations: (1) *less trust*, (2) *budget cuts*, (3) *reputation*, (4) *protests*, (5) *crime*, (6) *reform*, (7) *police support*, (8) *unspecified demand*, (9) *no impact*, and (10) *unclear*. Appendix Table A.8 provides a complete list of these categories with the examples given to coders. For brevity, we focus on the three most salient and frequently mentioned themes in our analysis:

1. *Less trust*: Responses related to an emotional response reflecting a loss of trust or a desire to hold the police accountable. These responses may be vague and may not describe a precise mechanism for how stocks actually fall.
2. *Budget cuts*: Responses related to protests, riots, or general unrest. Responses should specifically reference the resources required to deal with protests.
3. *Reform*: Responses related to calls for investment in police reform with a demand for police accountability tools: training, body-worn cameras, etc.

Human coding has several limitations, including human error or lack of concentration. Moreover, human inference of open responses is subjective. To mitigate these risks, five coders independently hand-coded each open-text answer into ten categories.¹⁵ Given a free text response and a reason, the final categorization was determined by majority vote in all classifications. Although the coders had some knowledge of the goals of the overall research project, they did not have access to the respondent covariates associated with each open text response (aside from a randomly generated identifier). For example, for the expert survey, the coders were unaware of the type of expert responding to each answer. For the experimental samples, the coders were unaware of the assignment of the treatment. We offer further discussion in Appendix Section A.1 regarding our evaluation of the classification procedure’s quality. We show a high level of agreement among coders in classifying open-text responses.

5.2 Impact of Information on Reasoning

In Table 3, we examine how exposure to product and narrative information affected reasoning for our experimental samples. For nonexperts, exposure to product information alone made them 14.8 pp less likely to mention *less trust* ($p < 0.01$) and shifted their reasoning toward *reform* by 16.8 pp ($p < 0.01$). When both products and narratives were provided, mentions of *reform* increased by 20.2 pp ($p < 0.01$), and mentions of *less trust* exhibited a 21.0 pp ($p < 0.01$) decrease,

¹⁵The coders were Duke graduate and undergraduate students and participated in a training session where they were required to complete some sample tasks and receive feedback. The coders also received instructions that included up to six examples for each categorization.

indicating that exposure to comprehensive information redirected the focus from skepticism toward police to police reform. Mentions of *budget cuts* also rose by 7.3 pp ($p < 0.01$) under exposure to combined information, with some nuance visible in the shifts. Finance professionals exposed only to product information were 19.6 pp likelier to emphasize *reform* ($p < 0.01$), with minimal changes in mentions of *less trust* or *budget cuts*. The addition of narrative information had a modest effect on their emphasis on *reform* and *budget cuts*, indicating that their predictions relied more on the product details.

In general, nonexperts responded more to the combination of narrative and product information, emphasizing *reform* over *trust* or *budget cuts*. In contrast, finance professionals predominantly relied on product details, showing less influence from broader narratives. This highlights the different expertise between these groups when processing information related to policing and the defund movement.¹⁶ Appendix Section C presents a simple asset pricing model that rationalizes our findings.

6 Conclusion

The efficient markets hypothesis posits that stock prices reflect all publicly available, value-relevant forward-looking information (Fama, 1970), including investors’ beliefs about the potential impacts on firms of societal debates and policy changes. We are interested in how sensitive such beliefs are to (potentially subjective) popular narratives relative to the effect of more granular information about firms’ business models. The summer 2020 protests ignited discussions about policing, ranging from calls for defunding to demands for reforms focused on accountability, staffing, and tools such as body cameras. Despite the prominence of the “defund the police” narrative, its actual policy impact remains unclear.

Our work reveals how narrative and product information shapes beliefs among laypeople and experts on how policing industry stocks would react to the 2020 racial justice protests and defund movement. By combining financial market and survey data, we uncover a disconnect between beliefs and outcomes. We first find that despite protest exposure slightly increasing support for cuts, the public remains strongly supportive of funding police. Next, in a survey experiment, we learn that laypeople and finance professionals overestimate the negative impact of the protests on police-linked firms when they lack detailed business model–related information. Narrative information appears to amplify concerns about the short-term effects of protest movements on police budgets and popular distrust of police, while product-specific information seems to refocus respondents’ cognition on the long-term determinants of value of firms in the policing industry. Even experts, including academics, inaccurately project the firms’ stock value in the absence of detailed product information. In Appendix B.4, we show that only on-the-ground experts, such as police specialists

¹⁶Finance professionals, with their understanding of how value gets capitalized into stocks, can make sense of decontextualized product information in ways that nonexperts cannot.

and community organizers, accurately predict the post-protest increase in policing firm portfolio values, outperforming academics and finance professionals, with their understanding of the determinants of police reform being the key driver of their predictions. Together, the findings clarify how societal debates influence popular (mis)understanding of the economics of policing and police reform.

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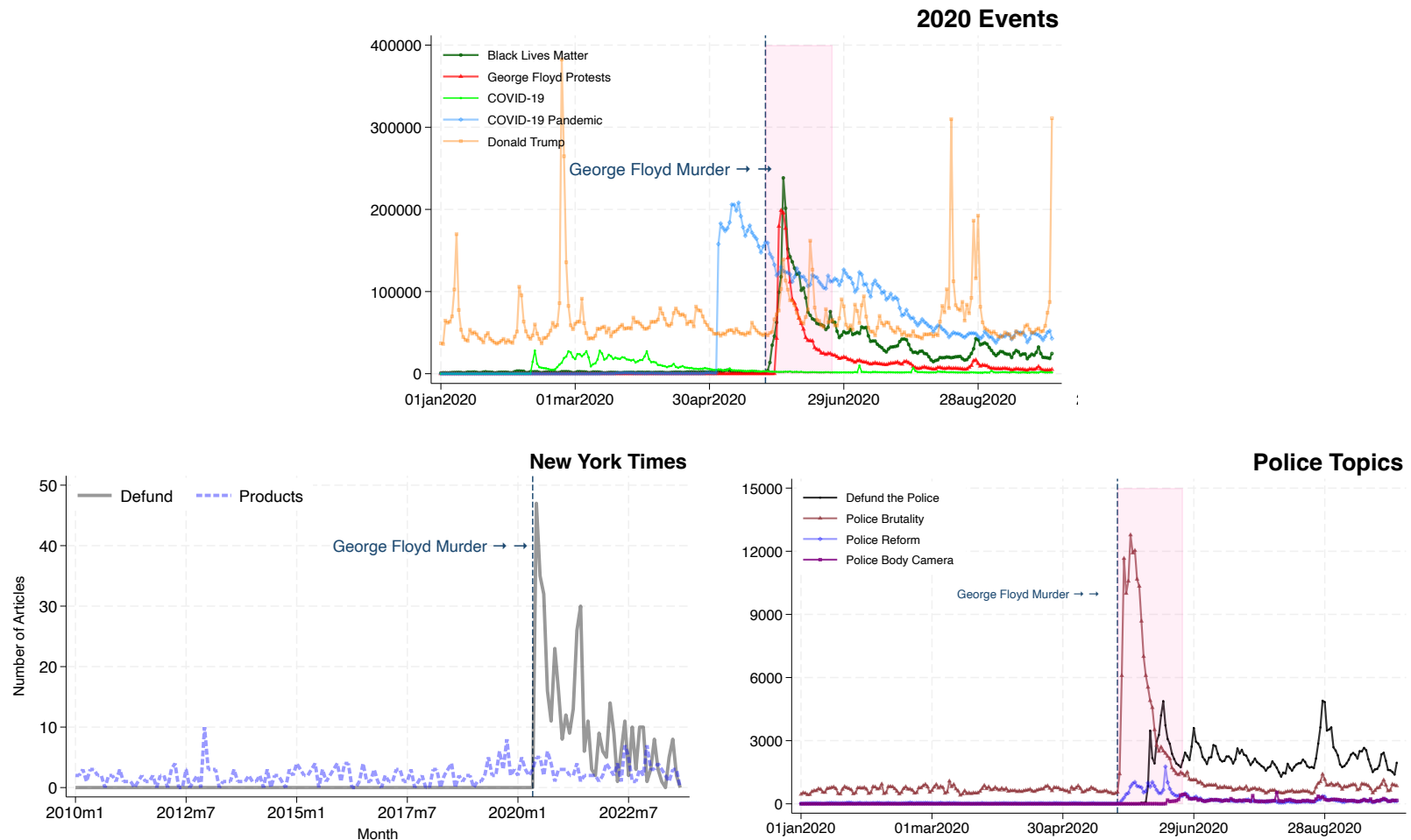
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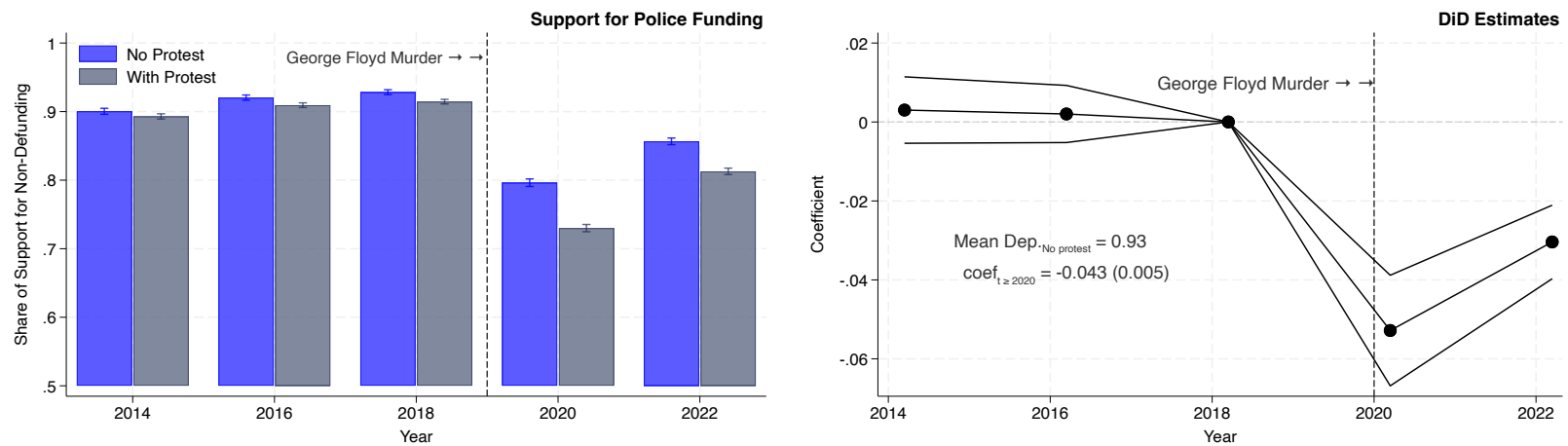
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Figure 1: Trends Associated with the Defund Movement and Its Impact



Notes: The top figure presents daily views of the Wikipedia articles on “Black Lives Matter,” “George Floyd Protests,” “COVID-19,” and “Donald Trump” from January 2020 to September 2020 (Pageviews Analysis (2023)). The shaded vertical sections on the graph represent the 21-day period following the murder of George Floyd. These figures provide insights into the defund movement and its impact on the police industry. The bottom-left panel displays the monthly frequency of *New York Times* articles featuring terms related to both “defund the police” and specific police-related products. For police-related products, the terms included are “body-worn camera,” “simulation-based training,” “gunshot location,” “less lethal,” “surveillance systems,” “thermal imaging systems,” “dispatch systems,” “firearms training,” and “tactical training”. For “defund the police,” variations such as “defund the police,” “defunding police,” “defunding the police,” “police defund,” and “funding from police” are also considered. The bottom panel presents Wikipedia searches on police-related topics based on the Pageviews Analysis (2023).

Figure 2: Effect of Protests on Support for Police Funding



Notes: This figure examines the impact of the BLM protests following George Floyd's murder (May 25 to July 31, 2020) on support for maintaining or increasing police funding. The left panel shows the share of respondents supporting maintaining or increasing police funding by year and compares counties with and without protests. The dependent variable takes 1 if a respondent supports maintaining or increasing funding and 0 otherwise. The right panel presents the DiD estimates for the protest effect, including coefficients and 95% confidence intervals, with standard errors clustered at the county level. The mean of the dependent variable for nonprotest counties in 2020 is also provided for reference.

Table 1: Summary Statistics by Treatment Arm

	(1)	(2)	(3)	(4)	(5)	(6)
	All	Narratives and Products	Products Only	Narratives Only	No Information	p-value
Panel A: Nonexperts						
Female	0.44	0.47	0.46	0.45	0.38	0.005
Born in the US	0.92	0.91	0.92	0.94	0.89	0.036
White	0.72	0.69	0.75	0.72	0.73	0.135
Age 18 to 34	0.40	0.39	0.40	0.41	0.39	0.803
Age 55+ or missing	0.45	0.46	0.45	0.44	0.45	0.926
Check Investment Weekly	0.34	0.33	0.37	0.37	0.32	0.162
0-6 min	0.44	0.42	0.46	0.41	0.47	0.164
7-13 min	0.43	0.44	0.43	0.45	0.39	0.224
14-20 min	0.13	0.14	0.11	0.14	0.14	0.446
Observations	2346	591	579	591	585	2346
Panel B: Finance						
Female	0.20	0.22	0.23	0.17	0.19	0.597
Born in the US	0.93	0.90	0.93	0.93	0.94	0.665
White	0.81	0.79	0.82	0.83	0.80	0.798
Age 18 to 34	0.06	0.04	0.03	0.08	0.08	0.257
Age 55+ or missing	0.70	0.74	0.77	0.67	0.64	0.090
Check Investment Weekly	0.43	0.42	0.44	0.46	0.42	0.924
0-6 min	0.06	0.03	0.09	0.05	0.07	0.275
7-13 min	0.46	0.44	0.56	0.41	0.45	0.091
14-20 min	0.47	0.53	0.34	0.54	0.49	0.007
Observations	467	117	117	114	119	467

Notes: This table presents the mean of the covariates from the online experiment for nonexperts (Panel A) and finance professionals (Panel B). Column (1) provides the mean level of each variable for the full sample. Columns (2) to (5) report the mean level of each variable by treatment arm. Column (6) reports the p value from a test of the hypothesis of equal means across the experimental conditions.

Table 2: Impact of Information Treatments on Predictions

	(1)	(2)	(3)	(4)
	Predict an Increase	Predict an Increase	Neg. Abs Error	Neg. Abs Error
Narratives Only (N)	0.0325 (0.0225)	-0.0599 (0.0576)	2.276** (1.158)	-2.786 (1.817)
Products Only (P)	0.322*** (0.0258)	0.350*** (0.0614)	10.27*** (1.211)	7.180*** (1.862)
Narratives and Products (N+P)	0.344*** (0.0257)	0.241*** (0.0630)	12.76*** (1.140)	3.804** (1.888)
Sample	Nonexperts	Finance	Nonexperts	Finance
Controls	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.16	0.29	-35.66	-23.06
Observations	2346	467	2346	467

Notes: This table presents the impact of exposure to product and narrative information related to policing on the prediction accuracy of nonexperts (odd columns) and finance professionals (even columns). The dependent variables are measures of accuracy given by a binary variable that equals one if the respondent predicts an increase in the price of a portfolio of policing-connected firms or individual stocks and zero otherwise (Columns (1) and (2)) and the negative absolute error (Columns (3) and (4)). We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table 3: Impact of Information Treatments on Reasoning

	(1)	(2)	(3)	(4)	(5)	(6)
	Less Trust	Less Trust	Budget Cut	Budget Cut	Reform	Reform
Narratives Only (N)	-0.103*** (0.0262)	-0.0310 (0.0353)	0.0898*** (0.0216)	0.0394 (0.0510)	0.0410*** (0.0109)	-0.00472 (0.0340)
Products Only (P)	-0.148*** (0.0253)	-0.0534 (0.0360)	-0.0144 (0.0188)	0.0571 (0.0516)	0.168*** (0.0168)	0.196*** (0.0481)
Narratives and Products (N+P)	-0.210*** (0.0239)	-0.0553 (0.0359)	0.0734*** (0.0211)	0.0462 (0.0511)	0.202*** (0.0176)	0.0231 (0.0369)
Sample	Nonexperts	Finance	Nonexperts	Finance	Nonexperts	Finance
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.33	0.10	0.12	0.16	0.02	0.08
Observations	2346	467	2346	467	2346	467

Notes: This table presents the impact of exposure to product and narrative information related to policing on finance professionals' reasoning. The dependent variable equals one if the respondent provided a reason associated with the category and zero otherwise. Table A.8 provides details for the categories with descriptions and examples related to our coding scheme. We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

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Online Appendix

A Data

A.1 Quality of Hand-Coded Data

We used a number of strategies to assess the quality of our classification procedure. First, we calculated how often all five (and four out of the five) independent reviewers assigned the same categorization to a response. Figure A.3 presents the proportion of responses where 5 out of the 5 coders agreed on the categorization for a particular narrative category across the expert survey, the Prolific experiment, and the Qualtrics finance survey. Figure A.2 repeats this analysis for the proportion of responses where 4 out of the 5 coders agreed. According to Figure A.3, if one coder assigned a response to a particular category, depending on the narrative and sample, the likelihood that all the other coders adopted a similar classification is between 0.49 and 0.95. Given a random response and narrative category, the chance of all five coders agreeing is 0.82. According to Figure A.2, given a participant’s response and a narrative, the likelihood that 4 out of the 5 coders agreed falls between 0.74 and 0.98, depending on the category and sample. Given a random response and narrative category, the probability of four out of the five coders agreeing is 0.93.

A substantial portion of the disagreement corresponded to the use of the *unclear* category. This is expected, as we requested that coders attempt to infer the narrative if it was unclear. There is also relatively high disagreement in the assignment of the *unspecified demand* category. The majority of disagreements are attributable to coder disagreement over whether a response was specific enough to be placed into the *crime* or *reform* category.

B Additional Analysis

B.1 Survey Experiment

B.1.1 Impact of Information on Other Outcomes

Heterogeneity by Type of Prediction Given that nonexperts and finance professionals processed the product information differently, Table A.2 explores how the respondents’ predictions vary with the types of products sold by firms, where the dependent variable is a respondent’s likelihood of predicting a portfolio increase. We report the results from Table 2 in Column (1) to facilitate comparison with the portfolio prediction.

Nonexperts are significantly more influenced by product information in the broad portfolio context than in evaluating specific stocks, indicating that information is processed differently in general and detailed assessments. In contrast, finance professionals consistently respond more positively to

product information across all company types, showing a greater impact of concrete product details over narrative information.

The impact of product information varies notably across companies, particularly for high-tech and security-focused firms such as Axon Enterprise and Teledyne FLIR, which sell advanced technologies such as conducted energy weapons and thermal imaging systems. Valuations of these companies' stock showed a more pronounced response among respondents exposed to product details, likely because of the relevance of the firms' technologies to current market trends. However, for firms such as ShotSpotter and VirTra, offering more specialized services such as gunshot detection and simulation-based training, we found no uniform increase in stock predictions among respondents exposed to product information. This suggests that the specialized nature of their products requires deeper, domain-specific knowledge.

Overall, the effect of product information exposure on stock predictions is closely tied to the nature of the products and services a firm offers, with companies involved in critical and technologically advanced sectors seeing the most significant impact. These results suggest that nonexperts and finance professionals processed the narrative or product information differently depending on the product type.

Willingness to Change Forecasts In Table A.3, we investigate whether survey participants exposed to information about various products associated with the policing industry were willing to revise their portfolio forecasts. Among nonexperts, any exposure to information made them less likely to change their predictions than peers who received no information. Specifically, nonexperts exposed to product information were three times less likely to change their forecasts than those who received narrative information only.

For finance professionals, there is suggestive evidence that those receiving both narrative and product information were less likely to change their predictions than their peers without information. However, the results for the other groups are inconclusive because of noise, with the product-only and narrative-only groups showing similar magnitudes but opposite signs—negative and positive, respectively.

The findings in Columns (3) to (6) of Table A.3 are consistent with those in Table 2, supporting the idea that exposure to less information about products and narratives correlates with lower forecast accuracy. Additionally, the results highlight that product information is more critical than narrative information in enhancing forecast accuracy. The coefficients in Table A.3 are smaller in magnitude than those in Table 2, indicating that respondents update their beliefs after exposure to product information, as shown in Table A.2. This updating process helps reduce, but does not entirely eliminate, the accuracy gap between respondents with varying levels of information.

Support for Policies We investigate the impact of information on nonexperts' support for various policing-related policies in Table A.4. In general, we do not find significant effects of the information

treatment on support for the different policing-related policies (including support for the nonprofits advocating police wellness, police reform, or police abolition initiatives), the likelihood of donating, or the donation amount. We exercise caution in interpreting these results given the large standard errors, which prevent us from drawing informative conclusions.

Heterogeneity Analysis Tables A.5 to A.7 present analysis results for different subsamples across various demographics, political affiliations, investment patterns, and preferences related to the ethics of investment in policing and regulation.

The heterogeneity analysis supports the main results, indicating that the absence of product information leads to less accurate forecasts. However, we cannot definitively rule out statistical differences between the main sample and the subsample analysis. Among nonexperts, those not exposed to product information are less likely to predict a portfolio increase than those treated with full information, although this effect is smaller for male, younger, and nonwhite respondents and those who check their investments weekly.

For finance professionals, narrative information alone does not significantly impact prediction accuracy and sometimes has a negative effect, especially for nonwhite people and younger professionals. Product information, on the other hand, significantly improves prediction accuracy across all subgroups, similarly to what we find for nonexperts. The combination of narrative and product information further enhances accuracy, particularly for women, white respondents, and respondents who frequently check their investments, with finance professionals benefiting from detailed product information as well.

Table A.7 investigates the role of preferences and perceptions of respondents regarding policing and regulation. Among nonexperts, those who view the police as unethical or prefer more regulation show improved prediction accuracy with product information and the combination of narrative and product information. However, narrative information alone has negligible or mixed effects. For finance professionals, those who consider the police unethical show no significant improvement with product information alone, and narrative information has a negative impact. However, those favoring less regulation and viewing the police as not unethical benefit more from product information and the combination, indicating that perceptions of ethics and regulation influence how different groups respond to various types of information.

Overall, the analysis highlights that detailed product information significantly enhances prediction accuracy across all groups, whereas narrative information alone is less effective. The findings emphasize the importance of combining tailored information based on audience background and perceptions, with both nonexperts and finance professionals benefiting most from comprehensive product details. Additionally, the results suggest that past experiences and preferences, such as views on policing and regulation, play a critical role in shaping beliefs and responses to information.

B.2 Impact of Information on Reasoning

B.2.1 Relationship Between Reasoning and Predictions

On-the-Ground Experts' Reasoning In addition to our experimental survey, we conducted a companion survey targeting stakeholders with relevant expertise, particularly community organizers and police officers, who have a nuanced understanding of policing.¹ These experts received comprehensive information, including both narrative and product details, as depicted in the top panel of Figure A.6. Both groups exhibited a strong tendency to predict an increase in stock prices for police suppliers following the protests, with 71% of community organizers and 65% of police officers anticipating a rise. The dominant factor influencing their predictions was *reform*, accounting for 40% of responses from community organizers and 46% from police officers. Police officers also placed greater emphasis on *budget cuts* and *unspecified demands* than did community organizers. Police and community organizers were much likelier to predict increases, (65% and 71%, respectively) than nonexperts (33%) and finance professionals (42%).

Nonexperts and Finance Professionals The bottom panel of Figure A.6 shows that nonexperts primarily linked their predictions of stock price declines to *less trust* (22%), *budget cuts* (16%), and *reform* (12%), with 63% predicting a drop. Conversely, finance professionals had a more balanced view: 42% forecasted an increase due to *reform* and *unspecified demands*, while 48% anticipated a decrease, largely due to *less trust* and *budget cuts*. Unlike community organizers and police officers who were more optimistic about *reform*, nonexperts and finance professionals focused more on the potential negative impacts. Additional details on reasoning are provided in Appendix Section B.2.

B.2.2 Impact of Information on Reasoning

Tables A.9 and A.10 report the impact of all the reasons cited by nonexperts and finance professionals. A key observation for the nonexpert sample is its high sensitivity to both narrative and product information, especially regarding *less trust*, *reputation*, *budget cuts*, *reform*, and *unspecified demands*, while topics such as *crime* and *police support* seem to be less of a concern. Notably, the narrative-only treatment led to a significant decrease in mentions of *less trust* of 10.3 pp and of *reputation* of 5.53 pp, whereas mentions of *budget cuts* increased by 8.98 pp, with all these changes being significant at the 1% level. Exposure solely to product information triggered substantial increases in mentions of *less trust*, *reputation*, and *protests* of 14.8, 8.74, and 9.01 pp, respectively, along with notable reductions in mentions of *reform* and *unspecified demand*. The absence of both narrative and product information leads to even more pronounced changes: an increase in mentions of *less trust* and *reputation* of 21.0 and 12.1 pp, respectively, and a decrease in mentions of *reform* and *unspecified demand*.

¹For further details on recruitment, see Appendix Section ??.

Compared to nonexperts, finance professionals demonstrated a distinct pattern of response to information exposure. Specifically, when exposed solely to product information, they exhibited significant shifts in their reasoning, with increases in mentions of *reform* and *unspecified demand* of 19.6 pp and 8.02 pp, respectively, both significant at the 1% level. This treatment also led to a substantial reduction in mentions of *reputation* and *no impact* of 4.97 pp and 13.6 pp, respectively, both changes also significant at the 1% level. Additionally, mentions of *protest* decreased by 9.91 pp, a significant change at the 1% level. Exposure solely to narrative information significantly elevated mentions of *unclear* reasons by 13.9 pp, indicating increased ambiguity in responses, a change significant at the 5% level. The absence of both narrative and product information subtly decreased mentions of *reputation* and *no impact* by 3.59 pp and 7.57 pp, respectively, both significant at the 10% level, while mentions of *unclear* reasons increased by 12.1 pp and *unspecified demands* decreased by 6.49 pp, again significant at the 10% level.

This analysis highlights that exposure to product information specifically predisposed respondents to associate the movement with *reform* rather than *budget cuts*, likely leading them to give more weight in their forecasting to the technology adoption, spending, and potential budget reallocation associated with police reform than to the budget cuts advocated by police abolitionists or the defund movement.

B.3 Robustness Checks: Effect of Protests on Support for Police Funding

We use a DID approach to compare areas with and without BLM protests between May 25 and July 31, 2020, assuming parallel trends in voter support for police funding. To address identification concerns, we follow [Roth \(2022\)](#) to test for low-power and pretesting issues, constructing hypothetical deviations from parallel trends. We also apply [Rambachan and Roth \(2023\)](#) sensitivity analyses, assessing how much the counterfactual trend would have to differ to overturn our findings.

The top panel of Figure [A.4](#) generates the counterfactual trends of support for maintaining or increasing police funding. We confirm that areas exposed to protests were less likely to support increasing or maintaining police funding in 2020 and 2022, even after the potential problems of low power and pretesting in our evaluating pretrends are accounted for. Additionally, the sensitivity analysis in the bottom panel indicates that for any values $M^* = \{0.5, \dots, 2\}$, we obtain a robust confidence set that always excludes 0. Therefore, our conclusion of a significant effect of protests on support for police funding is reliable as long as we assume that the posttreatment violation of parallel trends is no more than twice the worst pretreatment violation of parallel trends.

B.4 Who Are the Experts?

B.4.1 Survey Design

As a complementary analysis, we quantify expert views and beliefs about the impact of George Floyd’s murder, we surveyed various constituencies of experts who impact policy making on police. We also recruited respondents from an online platform, whom we refer to here as “nonexperts,” to compare their responses to those of our sample of experts.

Implementation Experts were invited via email in November–December 2022. To mitigate priming effects from the researchers’ policing focus and the PI’s Black-sounding name (Jowell and Prescott-Clarke, 1970; Bertrand and Mullainathan, 2004), outreach came from The Social Capital Research Team at Duke via a project-specific email. Personalized follow-ups in December targeted nonrespondents who had not opted out, sent by Duke undergraduates.

Respondents We surveyed various stakeholders with expertise relevant to our topic. First, community organizers and police specialists themselves tend to have expertise on the externalities of policing. Moreover, we investigated the views of other relevant stakeholders, such as professional and academic experts in finance, law, and other academic fields.

Our study relates to the impact of police violence incidents and the BLM movement. Understanding the views of individuals connected to affected communities is vital. Our primary experts are tied to nonprofit organizations working on racial justice, climate change, LGBTQ+ rights, and other grassroots movements. We sourced experts from mailing lists such as communityresourcehub.org and sunrisemovement.org. Police specialists constitute the second group of experts, given their relevance for racial justice. We collected email addresses from *Police Chief Magazine* from 2010 to 2021 to engage law enforcement personnel. We also surveyed finance professionals using Discovery Data and invited top 100 finance department faculty.² We reached legal practitioners via usalawyerlist.com³ and emailed faculty from US law schools. We also contacted African-American studies, political science, sociology, and social work faculty from 36 US universities.

Finally, we surveyed nonexperts drawn from a sample recruited from Prolific, an online survey platform frequently used in social science research and marketing. Our sample of nonexpert respondents was recruited on November 8, 2022. Participants were required to reside in the United States and to be adults fluent in English.

Sample Selection We sent invitations to 131,325 email addresses for the expert sample and received 1,204 responses. We excluded individuals who failed the attention checks, did not complete

²See the [ASU ranking](#) here.

³For both finance professionals and legal practitioners, we randomly selected 50,000 individuals from this dataset and invited them to participate in the study.

the comprehension question, or did not provide their demographic information. The final sample for our analysis includes 511 responses, with 45 community organizers, 26 police experts, 143 finance and 104 law experts, 54 other academics, and 139 nonexperts.⁴

Sample attrition statistics are summarized in Table A.11. “Other academic” has a substantially higher response rate than other expert groups, with 4.9% of those in the “Other academic” group completing the survey, conditional on their being sent an email. This rate varies from 0.4% to 0.7% in the other expert groups. Conditional on opening the survey link, between 38.5% and 49.1% experts completed the survey, with “law” experts having the highest completion rate and those in the finance experiment having the lowest completion rate. Most of the participants who opened the survey link consented to participate in the survey. Most of the attrition from the start to the end of the survey is due to participants leaving the survey.

B.4.2 Experts’ and Nonexperts’ Forecasts

Summary Statistics Table A.12 presents demographic summary statistics across expertise groups: nonexperts, community organizers, police experts, finance experts, law experts, and other academics. The gender distribution varies, with approximately 37% women on average, with this share rising to 53% for nonexperts and 73% for community organizers. The different expert groups also show varying proportions of white respondents, with finance and law experts having the highest shares at 77% and 88%, respectively. Additionally, the community organizers are generally younger and are the least likely to report checking investments weekly or daily (9%), followed by the police specialists (12%).

Relationship Between Expertise and Forecasts The top panel of Figure A.7 presents various summary statistics for our experts’ forecast of the value of a portfolio of policing-connected firms three weeks after the killing of George Floyd.

On average, all groups predicted an increase in the policing portfolio value. However, the significant heterogeneity and wide tails of the forecasts make the median prediction a helpful statistic. Community organizers performed best, with mean and median forecasts slightly below the correct value. Police and other academics have lower mean and median forecasts than community organizers, but the distribution of their forecasts is much tighter. Among the experts, law and finance experts show the least accurate forecasts, with relatively tight distributions around a small predicted increase. Overall, nonexperts performed worst, with mean and median forecasts near 100 (i.e., no change) and the widest distribution in terms of the 10th and 90th percentiles.

The forecast precision differences across experts are displayed in the bottom panel of Figure A.7, which contains the cumulative distribution functions (CDFs) of the negative absolute difference

⁴Only participants on Prolific received a payment of \$1.58 for participation. The payment was conditional on participants’ completing the study and not failing the attention checks.

between the predicted and actual returns. Notably, community organizers and nonexperts have long tails on this measure of accuracy. However, while the CDF for community organizers converges with the CDFs of other experts above 40%, the predictions of nonexperts are much less precise, and the corresponding CDF converges above 80%. Finally, the p value of a Kolmogorov–Smirnov test of equality of the community organizer and nonexpert distributions allows us to reject the null, while we fail to reject the hypothesis of equality of the community organizer and finance expert distributions.

Overall, our results illustrate the important heterogeneity across categories of experts and particularly the strong predictive performance of groups generally excluded under the definition of an “expert” in the economics survey literature, namely, practitioners (police specialists) and affected community members (community organizers). Despite being the least likely to report having high investment experience among all the expert and nonexpert groups, community organizers and police specialists were the likeliest to correctly predict an increase in portfolio value, and their mean and median predictions are closest to the actual value. This is also despite the high imprecision of the predictions of community organizers, much like those of nonexperts.

B.4.3 Experts’ Reasoning

Figure A.8 provides valuable insights into the predictions and reasoning of different groups. A notable pattern emerges, with the majority of the expert groups predicting an increase in the portfolio price and nonexperts being the only group in which a majority does not predict an increase. Among all groups, police reform stands out as the most commonly cited forecast explanation among those forecasting an increase in the portfolio price. Both police experts and community organizers, who are likelier to anticipate a price increase, consistently attribute this prediction to reform (46% and 40%, respectively), regardless of their overall forecast. In contrast, only 27% of finance professionals, 26% of nonexperts, 33% of law experts, and 20% of other academics cite police reform as a reason for their forecasts. However, it is noteworthy that among those citing reform as a reason, a strong majority across all groups predicts an increase in the portfolio price. On the other hand, within each group, those who forecast an increase most frequently mention the potential for budget cuts or provide unclear reasoning as the rationale for their forecasts.

C Modeling the Role of Information in Beliefs

We model the prediction behavior of survey participants in a framework analogous to one in which market participants price an asset under conditions of limited information regarding future cash flows. The preferences of these participants are influenced by the information they receive. Following the classical Lucas tree model (Lucas, 1978), the asset provides dividends D_1 and D_2 at the end of two respective periods, termed the short run and the long run. The states of the world for these

periods are denoted (s_1, s_2) , with corresponding physical probability densities $\pi(s_1)$ and $\pi(s_2|s_1)$. The information available to market participants is modeled through a filtration $\{\mathcal{F}_1, \mathcal{F}_2\}$, which captures all accessible information at each stage. Therefore, price predictions at the end of period zero and the beginning of period one are based on the expectations of the discounted cash flows:

$$P = \mathbb{E} [\mathbf{m}_1(s_1)D_1(s_1) + \mathbf{m}_2(s_1, s_2)D_2(s_1, s_2) | \mathcal{F}_1] \quad (3)$$

where $\mathbf{m}$ is the stochastic discount factor (SDF) as in [Cochrane \(2009\)](#). We model the narrative and product treatments, along with the expertise level (finance professional versus nonexpert), as scenarios that influence the information set $\mathcal{F}$ available to the respondent and the discounting m of cashflows.

Finance Professionals with No Information (O) Consider finance professionals to be agents who discount cashflows, as in standard consumption-based asset pricing, according to the marginal utility of consumption C^{market} of a representative market participant.

$$\mathbf{m}_1(s_1) = \beta_1 \frac{u'(C_{s_1}^{\text{market}})}{u'(C_0^{\text{market}})}, \quad \mathbf{m}_2(s_1, s_2) = \beta_2 \frac{u'(C_{s_1, s_2}^{\text{market}})}{u'(C_0^{\text{market}})} \quad (4)$$

where u' is the marginal utility and β_1, β_2 are time preferences. Let agent time preferences in the “No narrative” intervention follow the standard exponential discounting framework with constant time preference $\beta \leq 1$ so that $\beta_1 = \beta$ and $\beta_2 = \beta^2$.

For the period after George Floyd’s murder, we expect the immediate dividends $D_1(s_1)$ of the portfolio companies to decline. We denote by $\underline{D}_1$ this low expected level. Let the “No product information” intervention correspond to a scenario where expectations about long-term cashflows are anchored to a baseline level $\tilde{D}_2$ ([Tversky and Kahneman, 1974](#)). When we replace expectations with their certainty equivalents for simplicity, the price prediction of finance professionals with no information (O), i.e., with neither narrative nor product information, is

$$P_{\text{Finance, O}} = \beta \frac{u'(C_1^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{\underline{D}_1}_{\downarrow} + \beta^2 \frac{u'(C_2^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{\tilde{D}_2}_{=} \quad (5)$$

Therefore, we can expect finance professionals not exposed to any narrative or product intervention to predict a decrease in the asset price, as short-term cashflows are expected to decrease, while with limited information on policing products, expectations about long-term cashflows are anchored.

Finance Professionals with Product Treatment (P) Let the “Product” treatment correspond to a scenario with information indicating that future long-term cashflows will substantially increase because of higher demand. We capture this with a certainty equivalent $\bar{D}_2 \gg \tilde{D}_2$, so that the price prediction of finance professionals with product information only (P) is

$$P_{\text{Finance, P}} = \beta \frac{u'(C_1^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{D_1}_{\downarrow} + \beta^2 \frac{u'(C_2^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{\bar{D}_2}_{\uparrow} \quad (6)$$

Therefore, if the product intervention manages to induce finance professionals to sufficiently raise their expectations for long-term cashflows $\bar{D}_2 - \tilde{D}_2$, they can predict an overall increase in the price of the asset.

Finance Professionals with Narrative Treatment (N) Let the “Narrative” treatment alter the SDF and the time preference of agents so that they are more fixated on the short term than on the long term. We capture this intervention as transforming agent preferences to the $\beta\delta$ -hyperbolic discounting framework (Laibson, 1997) so that $\beta_1 = \beta$ and $\beta_2 = \beta^2\delta$, where $\delta < 1$, and hence the price prediction of finance professionals with narrative information only is

$$P_{\text{Finance, N}} = \beta \frac{u'(C_1^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{D_1}_{\downarrow} + \underbrace{\delta}_{<1} \beta^2 \frac{u'(C_2^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{\tilde{D}_2}_{=} \quad (7)$$

Therefore, we can expect finance professionals exposed to the narrative intervention to predict a decrease in the asset price, as short-term cashflows are expected to decrease, while they underweight anchored expectations about long-term cashflows.

Finance Professionals with Combined Product and Narrative Treatment (N+P) The combination of the narrative and product information interventions creates two contrasting forces on asset price predictions.

$$P_{\text{Finance, N+P}} = \beta \frac{u'(C_1^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{D_1}_{\downarrow} + \underbrace{\delta}_{<1} \beta^2 \frac{u'(C_2^{\text{market}})}{u'(C_0^{\text{market}})} \underbrace{\bar{D}_2}_{\uparrow} \quad (8)$$

On the one hand, better product information improves long-term cashflow expectations and drives up price predictions. On the other hand, narratives about protests and defunding the police led to a fixation on short-term cashflows, which could dampen the positive effect on price predictions in the product intervention. On net, we expect the combined narrative and product

intervention to lead to a price prediction below that in the product-only intervention and in the scenario without any intervention.

Comparison of Finance Professionals and Nonexperts While financial market experts discount cashflows according to the marginal utility of consumption of the representative market participant,⁵ nonexperts of type i discount cashflows according to the marginal utilities of their individual consumption c^i or by accounting for idiosyncratic factors:

$$\mathbf{m}_1^i(s_1) = \beta_1 \frac{u'(c_{s_1}^i)}{u'(c_0^i)}, \quad \mathbf{m}_2^i(s_1, s_2) = \beta_2 \frac{u'(c_{s_1, s_2}^i)}{u'(c_0^i)} \quad (9)$$

The variance of price predictions across nonexperts is thus

$$\text{Var}[P_i] = \text{Var}_i \left[\mathbb{E} \left[\mathbf{m}_1^i(s_1)D_1(s_1) + \mathbf{m}_2^i(s_1, s_2)D_2(s_1, s_2) | \mathcal{F}_1 \right] \right] \quad (10)$$

Therefore, we expect higher variance in the predictions of nonexperts than in those of experts because of disagreement over the pricing kernel. (See Figure A.5 and the regression from Table ?? with the information treatment.)

Interpretation Our empirical analysis shows that finance professionals make more accurate stock predictions when provided with detailed product information than nonexperts, who rely more on narratives. This result aligns with our model’s predictions: professionals adjust their long-term cash flow expectations upward with product information, leading to higher asset price predictions. Conversely, narratives about protests and defunding the police cause a focus on short-term impacts, resulting in lower predictions. Nonexperts exhibit greater variance in their predictions because of inconsistent discounting. The observed higher variance among nonexperts supports our model’s assertion that disagreement over the pricing kernel drives prediction discrepancies.

Narratives and Stochastic Discount Rates Here, we present a model where narratives are captured by interventions that affect agents’ time discount rate. An alternative model that can generate similar predictions is one in which narratives lead to pessimistic beliefs about likelihood of the state where the police are defunded. Shiller (2017) uses the word narrative to mean “a simple story or easily expressed explanation of events that many people want to bring up in conversation or on news or social media because it can be used to stimulate the concerns or emotions of others.” Our intervention is one in which agents are informed about others’ beliefs that can induce them to change their predictions. It is well understood that several SDFs can lead to the same asset pricing implication (Cochrane, 2009). Our model does not attempt to disentangle whether the impact of

⁵This corresponds to the no-arbitrage assumption and the existence of a pricing kernel (see, e.g., Cochrane (2009)).

narrative intervention on the SDF comes from changes in time discounting or optimism. Rather, it helps distinguish between interventions that affect the SDF and those that affect the quality of information on cashflows.

Additional Figures and Tables

Figure A.1: Flow of the Experiment Design

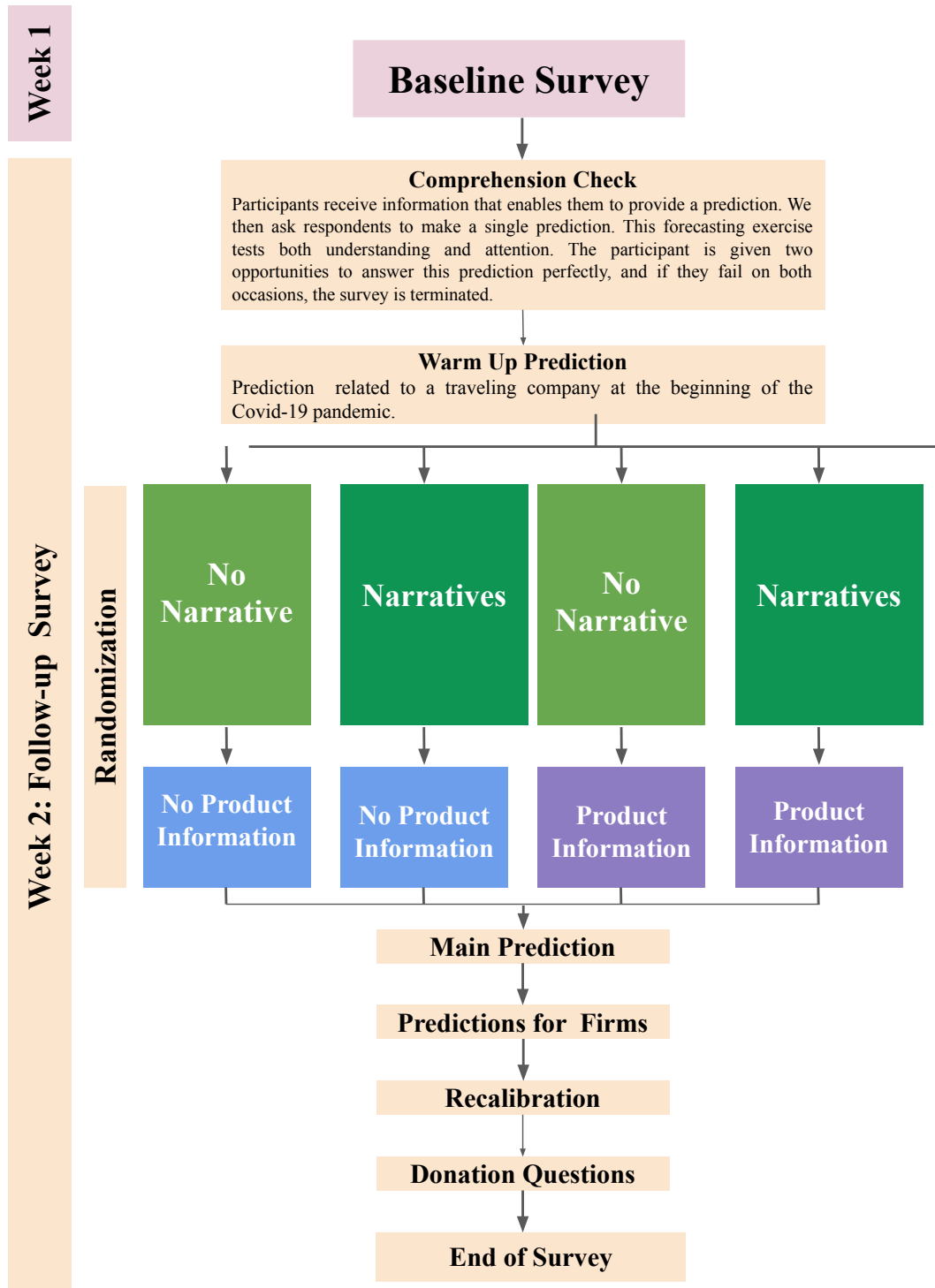
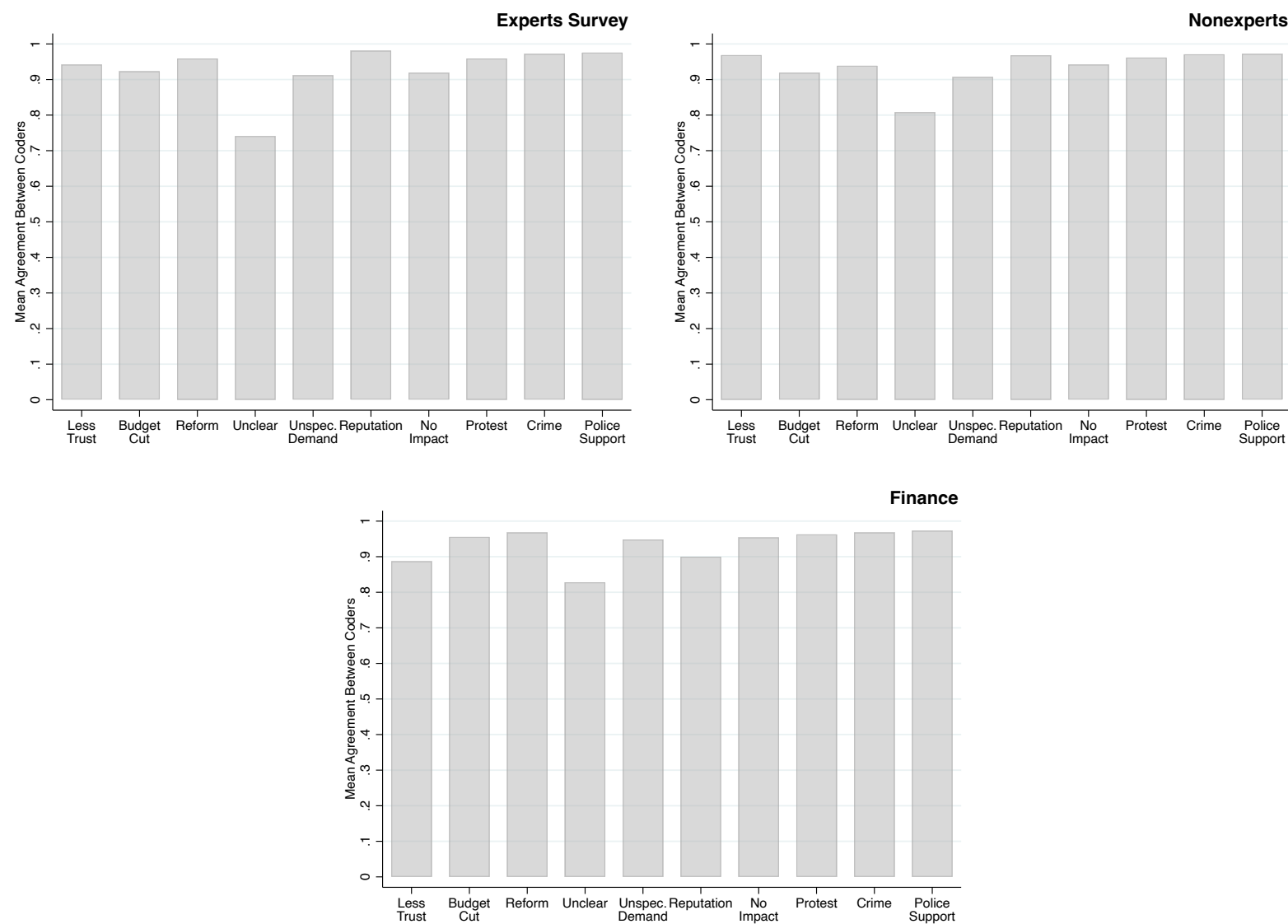
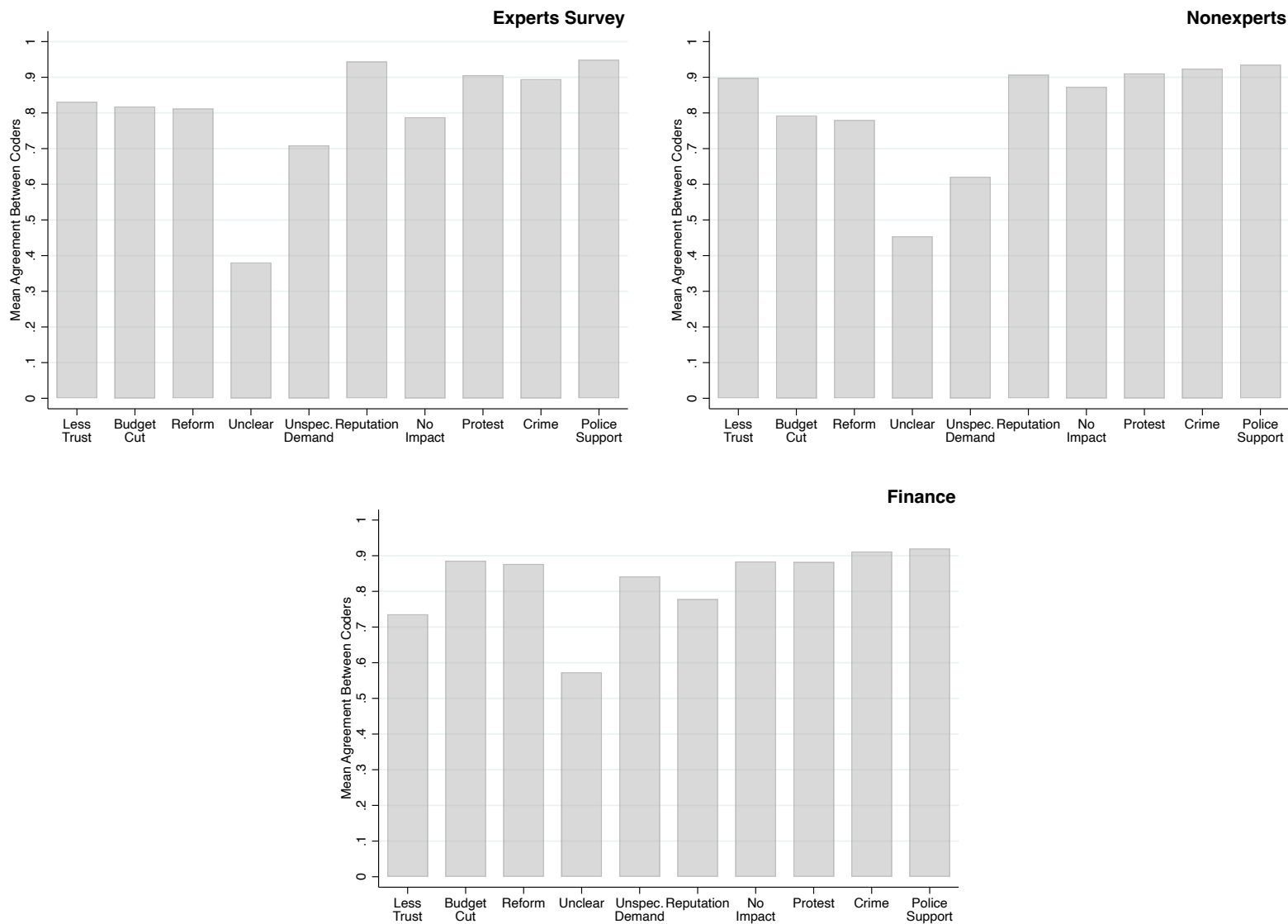


Figure A.2: Categorization Agreement Across Four of the Five Coders



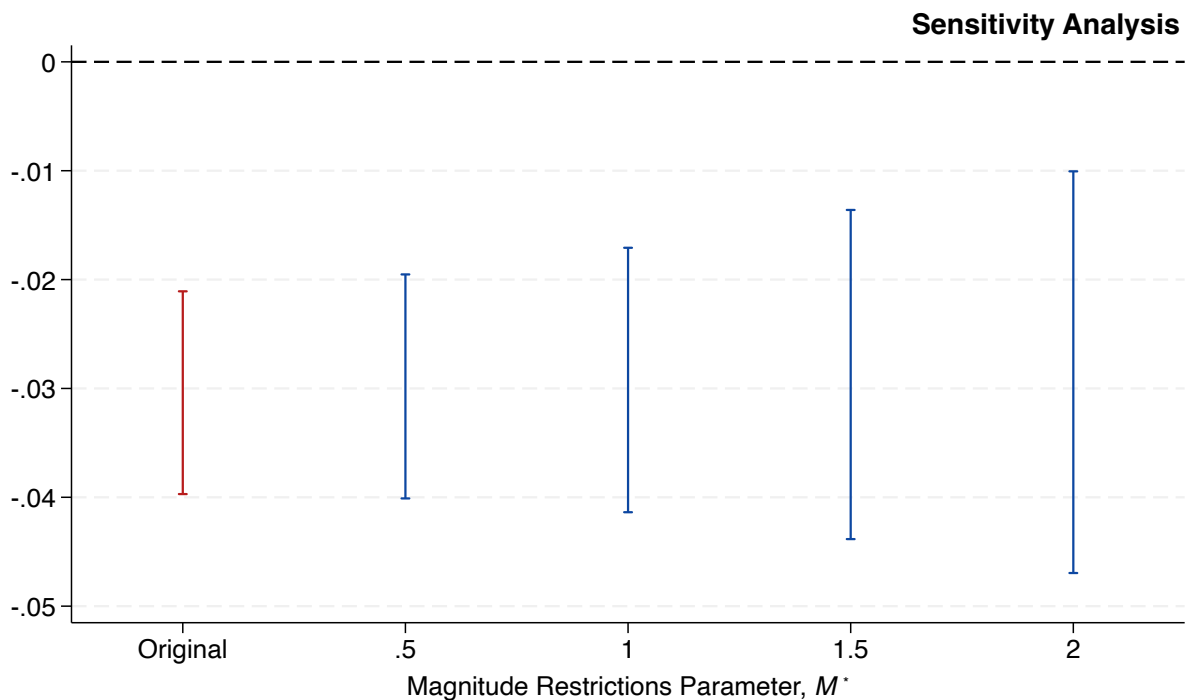
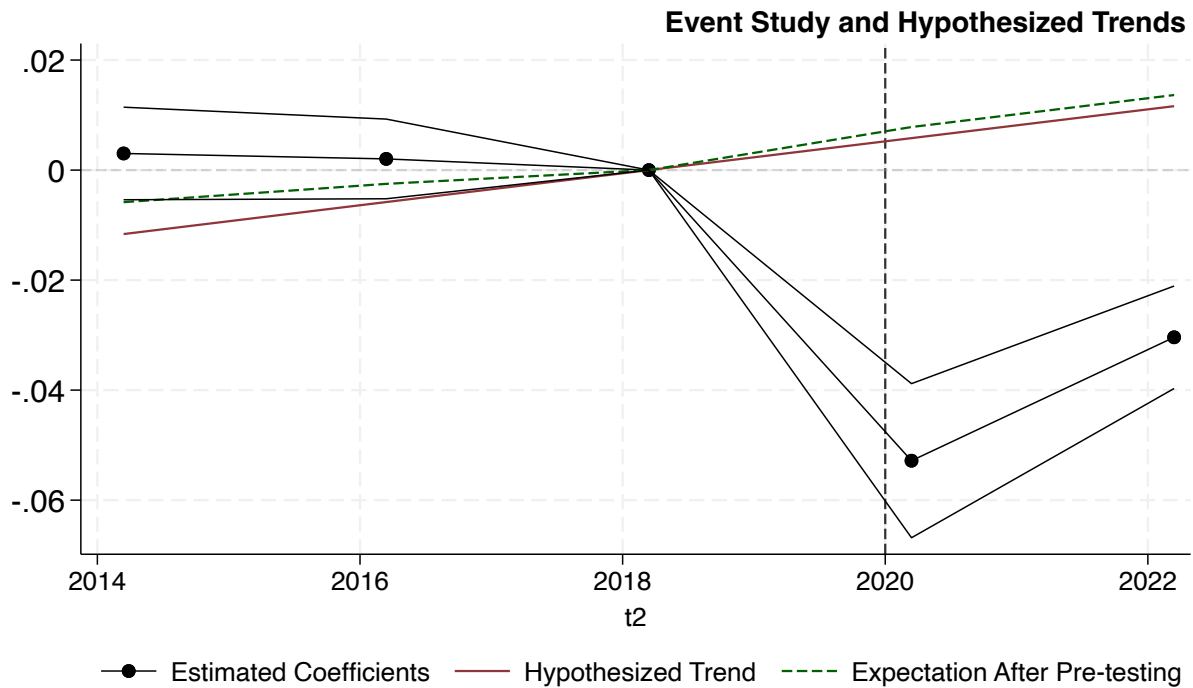
Notes: This figure reports the agreement by coders across categories for the expert survey, nonexpert experiment and the finance experiment. Given a sample (e.g., expert survey) and a category (e.g., *less trust*), the bar height represents the proportion of responses where at least 4 out of 5 coders agree on the coding.

Figure A.3: Categorization Agreement Across All Coders



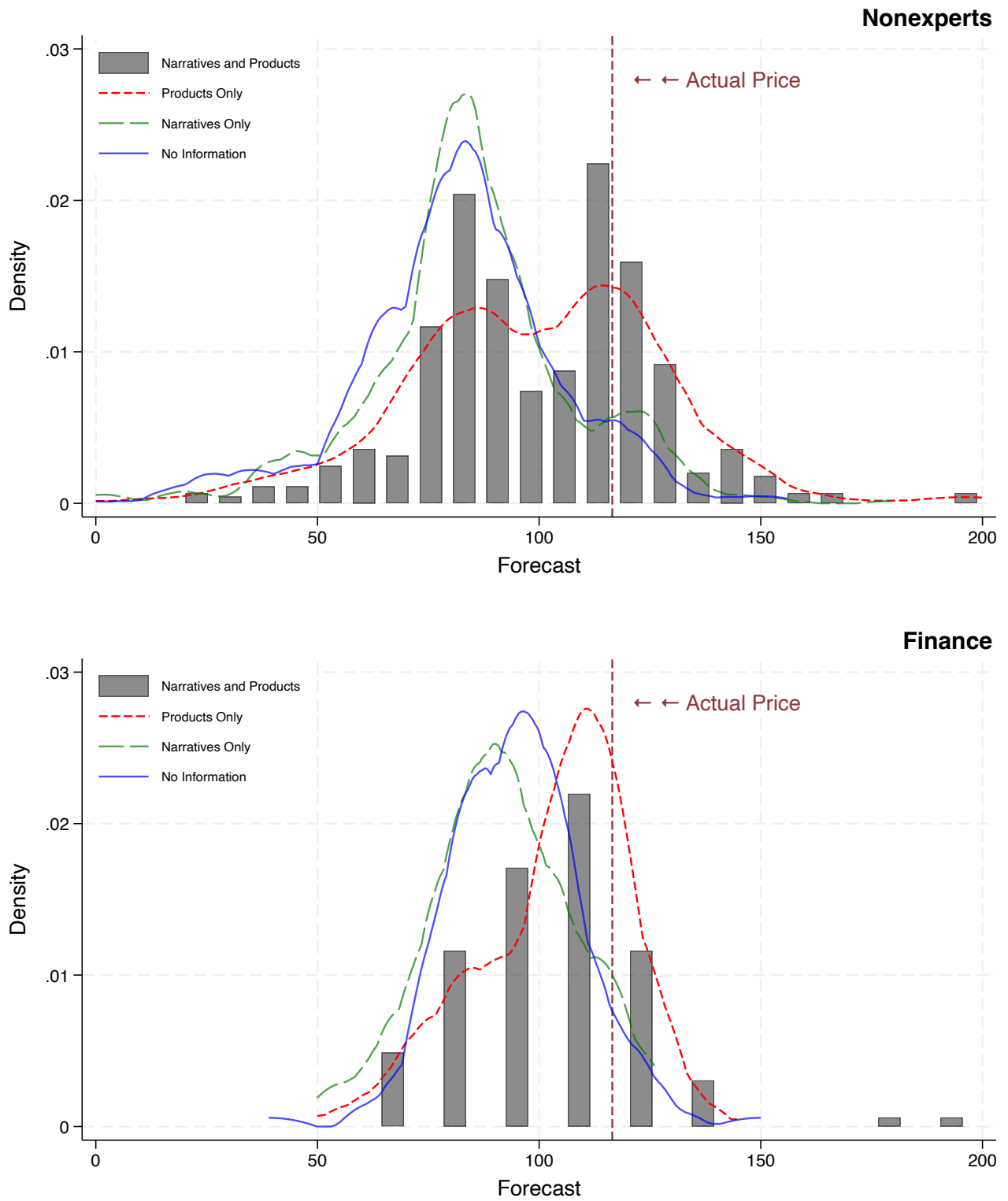
Notes: This figure reports the agreement by coders across categories for the expert survey, nonexpert experiment and the finance experiment. Given a sample (e.g., expert survey) and a category (e.g., *less trust*), the bar height represents the proportion of responses where exactly 5 out of 5 coders agree on the coding.

Figure A.4: Robustness: Effect of Protests on Support for Police Funding



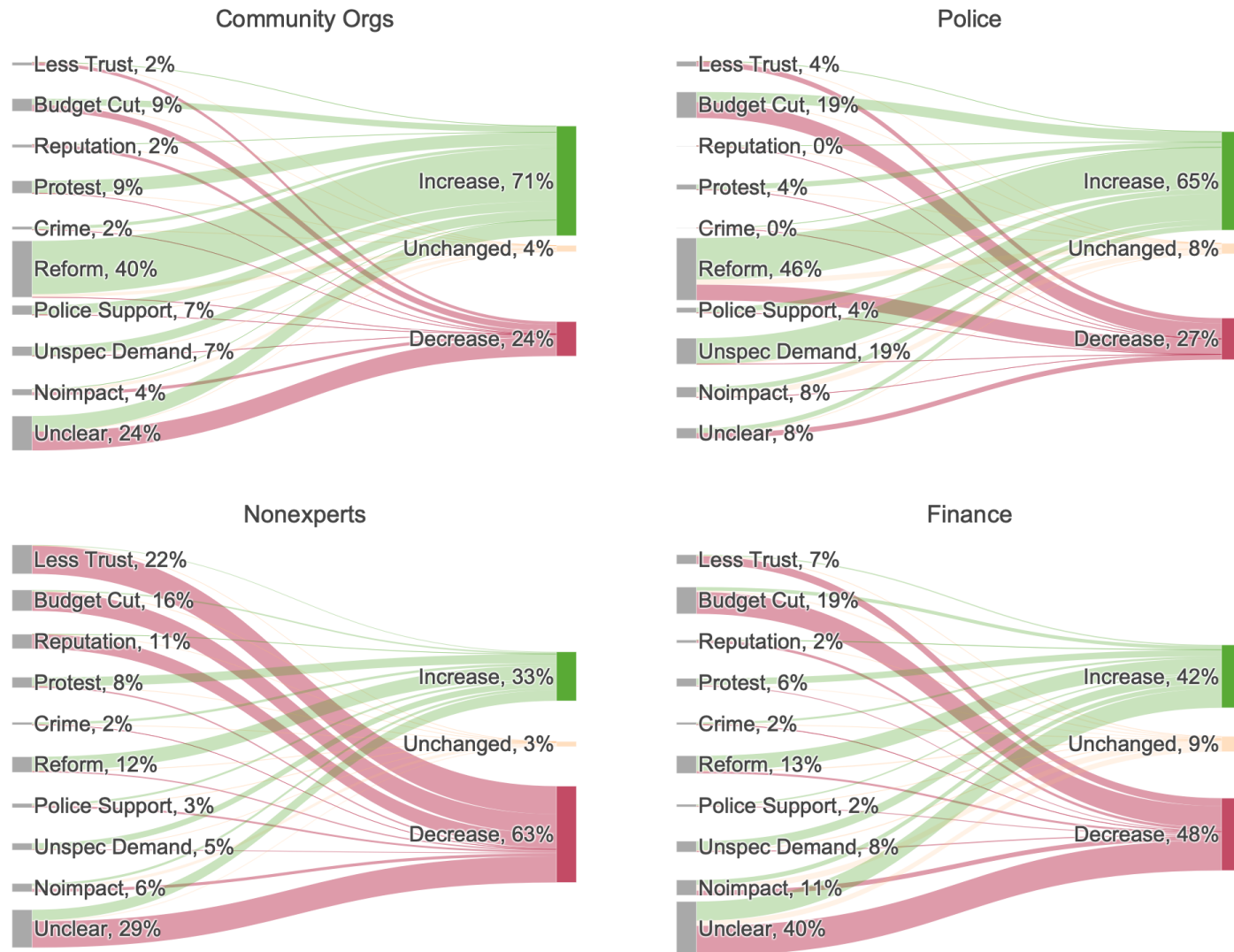
Notes: These figures present various specification checks on the impact of the BLM protests in response to George Floyd's murder on support for maintaining or increasing police funding. The dependent variable takes 1 if the respondent supports state legislative action to maintain or increase law enforcement funding and 0 otherwise. The top figure plots potential violations of parallel trends based on [Roth \(2022\)](#). We report the event study coefficients from Figure 2 and 95% confidence intervals, with standard errors clustered at the fund level. The solid line indicates the hypothesized linear deviation from parallel trends with 80% power. The dashed line shows the expected values of event study coefficients if the deviation existed but was undetectable with conventional methods. The bottom figure presents the bounds on relative magnitudes associated with a 95% robust confidence interval from [Rambachan and Roth \(2023\)](#).

Figure A.5: Distribution of Predictions by Information Treatment



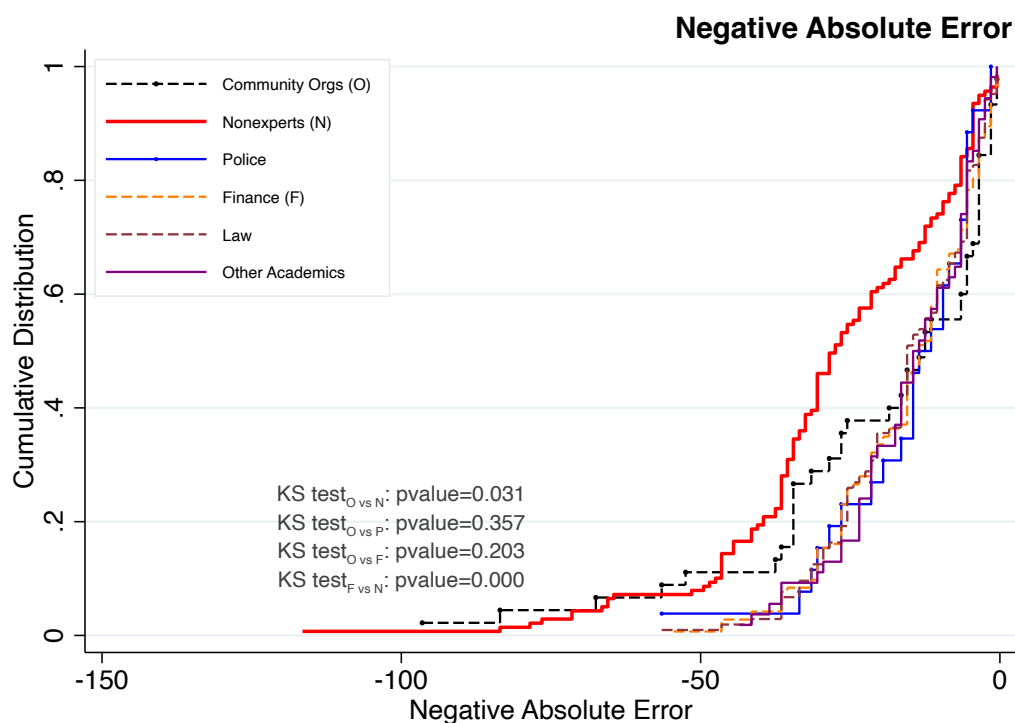
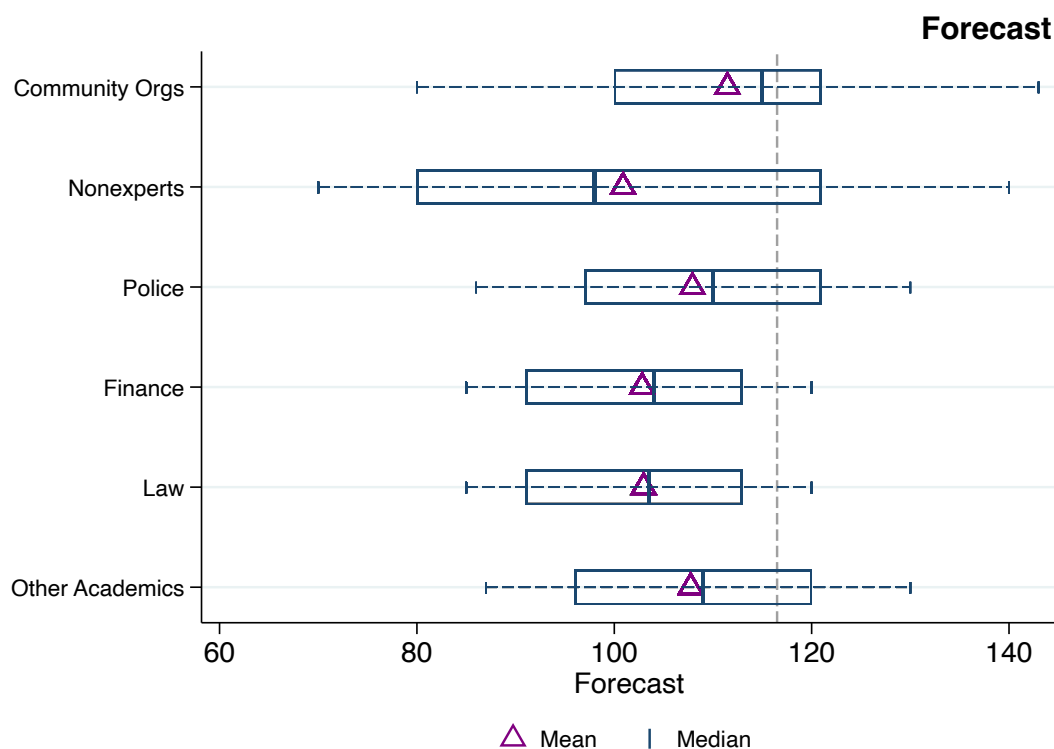
Notes: This figure presents the distribution of the portfolio predictions by treatment arm for nonexperts and finance professionals. Each respondent provided a prediction of the price of a portfolio of firms with ties to policing at 21 days after the killing of George Floyd. The vertical line represents the actual price of the portfolio.

Figure A.6: Reasoning and Predictions



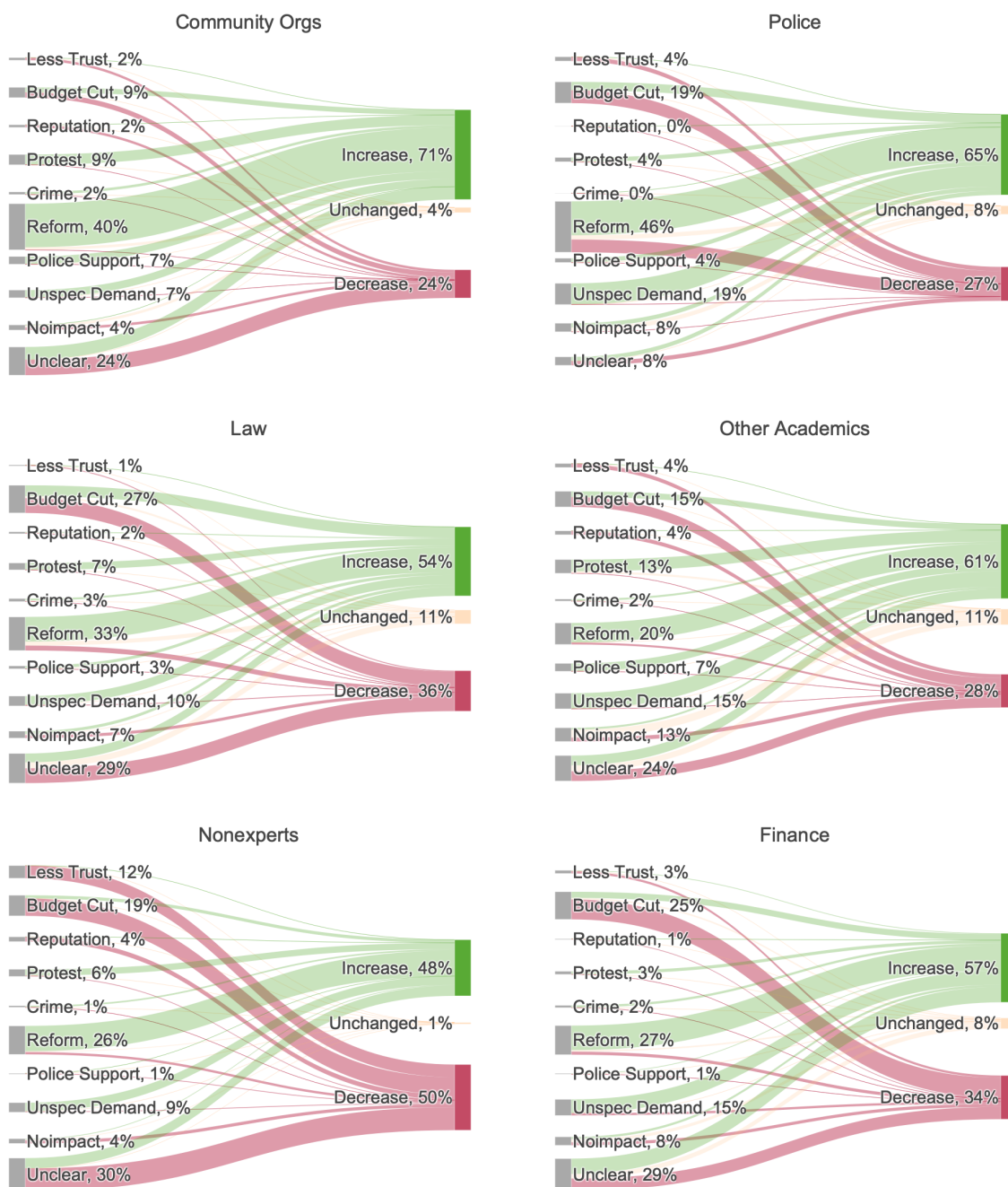
Notes: This figure presents the relationship between respondents' reasoning and stock predictions for community organizers, police officers, nonexperts, and finance professionals. The prediction is of the price of a portfolio of firms with ties to policing 21 days after the killing of George Floyd. The left side of each figure reports the shares of the different reasons that respondents invoked to explain their predictions, and the right side shows the share of respondents who predict an increase, no change, and a decrease in stock prices.

Figure A.7: Distribution of Forecasts and Negative Absolute Error by Category by Expertise



Notes: The top figure presents the distribution of the portfolio forecast by category of expertise. The box plots show the distribution means and 10th, 25th, 50th, 75th, and 90th percentiles. The bottom figure presents the cumulative distribution functions (CDFs) of the negative absolute error (accuracy) by type of expertise. Respondents provided a forecast of the price of a portfolio of firms with ties to policing at 21 days after the killing of George Floyd. We also report the p value of a Kolmogorov–Smirnov (KS) test of equality of the different pairs of the distributions of community organizers (O), nonexperts (N), and finance experts (F).

Figure A.8: Reasoning and Forecasts by Category of Expertise



Notes: This figure presents the relationship between respondents' reasoning and forecast by category of expertise. The prediction corresponds to a forecast of the price of a portfolio of firms with ties to policing at 21 days after the killing of George Floyd. The left panel reports the shares of different reasons invoked by respondents to explain their forecasts, and the right panel shows the share of respondents who predict an increase, no change and a decrease in stock prices.

Table A.1: Summary Statistics of CES Respondents

	(1)	(2)	(3)
	All	No Protest	Any Protest
Male	0.45	0.44	0.46
Black	0.09	0.07	0.11
Hispanic	0.07	0.05	0.08
Other Race	0.07	0.06	0.08
39-54yo	0.25	0.25	0.25
55-64yo	0.25	0.26	0.24
64yo+ or Missing	0.25	0.26	0.24
Married	0.54	0.57	0.52
Employed	0.50	0.47	0.53
Some College	0.22	0.23	0.22
College Grad	0.37	0.34	0.39
Post-Grad	0.15	0.13	0.17
40K-70K	0.24	0.25	0.24
70K-150K	0.23	0.22	0.24
150K+ or Missing	0.23	0.20	0.26
Observations	233434	99597	133837

Notes: This table provides the mean values of the co-variates for respondents participating in the Cooperative Election Study across the years 2014, 2016, 2018, 2020, and 2022. Column (1) displays the aggregate results for the entire sample. Columns (2) through (5) break down these mean values by exposure to the BLM protests between May 25 and July 31, 2020.

Table A.2: Impact of Information Treatments on the Likelihood of Predicting a Portfolio Price Increase by Type of Prediction

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Panel A: Nonexperts								
Narratives Only (N)	0.0325 (0.0225)	0.0692** (0.0273)	0.0653** (0.0277)	0.0241 (0.0291)	0.0260 (0.0288)	-0.00989 (0.0294)	0.0349* (0.0210)	0.0345* (0.0191)
Products Only (P)	0.322*** (0.0258)	0.0219 (0.0280)	0.0160 (0.0283)	0.0725** (0.0293)	0.0136 (0.0291)	0.0531* (0.0293)	0.0354 (0.0220)	0.0833*** (0.0208)
Narratives and Products (N+P)	0.344*** (0.0257)	0.0600** (0.0274)	0.0375 (0.0279)	0.0343 (0.0291)	0.0378 (0.0287)	0.0361 (0.0292)	0.0411* (0.0214)	0.0915*** (0.0202)
Company	Portfolio	Axon	Flir	Motorola	Shotspotter	Virtra	Stocks Only	All
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.16	0.64	0.63	0.43	0.58	0.53	0.56	0.49
Observations	2346	2346	2346	2346	2346	2346	11730	14076
Panel B: Finance								
Narratives Only (N)	-0.0599 (0.0576)	0.0517 (0.0600)	-0.0196 (0.0580)	-0.0518 (0.0645)	-0.0505 (0.0631)	-0.104 (0.0656)	-0.0348 (0.0428)	-0.0390 (0.0408)
Products Only (P)	0.350*** (0.0614)	0.162*** (0.0566)	0.0683 (0.0538)	0.118* (0.0652)	0.120** (0.0588)	0.0504 (0.0630)	0.104** (0.0416)	0.145*** (0.0412)
Narratives and Products (N+P)	0.241*** (0.0630)	0.00493 (0.0615)	-0.0982 (0.0604)	-0.0445 (0.0646)	-0.0643 (0.0633)	-0.0210 (0.0644)	-0.0446 (0.0466)	0.00302 (0.0449)
Company	Portfolio	Axon	Flir	Motorola	Shotspotter	Virtra	Stocks Only	All
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.29	0.67	0.74	0.45	0.66	0.62	0.63	0.57
Observations	467	467	467	467	467	467	2335	2802

Notes: This table presents the impact of exposure to product and narrative information related to policing on the prediction accuracy of nonexperts (Panel A) and finance professionals (Panel B). Each respondent provided predictions of the stock price of firms with ties to policing at 21 days after the killing of George Floyd. The firms were anonymized, but respondents were given keywords associated with the firms' products and services (e.g., body-worn cameras, dispatch systems, weapons, less-than-lethal weapons). For detailed information about the keywords associated with the firms, see Section ???. The dependent variables are measures of accuracy given by a binary variable that equals one if the respondent predicts an increase in the price of the portfolio or individual stocks and zero otherwise. We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.3: Impact of Information Treatments on Willingness to Change the Forecast

	(1) Any Redo	(2) Any Redo	(3) Predict an Increase	(4) Predict an Increase	(5) Neg. Abs Error	(6) Neg. Abs Error
Narratives Only (N)	-0.0468* (0.0248)	0.0399 (0.0534)	0.0202 (0.0269)	-0.0841 (0.0626)	1.876 (1.187)	-1.578 (1.913)
Products Only (P)	-0.123*** (0.0233)	-0.0365 (0.0479)	0.240*** (0.0278)	0.285*** (0.0632)	6.958*** (1.209)	6.187*** (1.939)
Narratives and Products (N+P)	-0.113*** (0.0235)	-0.0885* (0.0464)	0.247*** (0.0277)	0.158** (0.0650)	8.526*** (1.160)	2.714 (1.977)
Sample	Nonexperts	Finance	Nonexperts	Finance	Nonexperts	Finance
Portfolio Forecast	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.28	0.19	0.30	0.39	-30.89	-21.62
Observations	2346	467	2346	467	2346	467

Notes: This table presents the impact of exposure to product and narrative information related to policing on the stock forecasts of nonexperts (odd columns) and finance professionals (even columns). Each respondent provided forecasts of the price of a portfolio of firms with ties to policing at 21 days after the killing of George Floyd. The dependent variables in Columns (1) and (2) equal one if the respondent is willing to submit a new forecast and zero otherwise. The dependent variables are measures of accuracy given by negative absolute error and a binary variable that equals one if the respondent predicts an increase in the price of the portfolio or individual stocks and zero otherwise. Columns (3) to (6) are based on the final submitted forecast. The dependent variables for Columns (3) to (6) are measures of accuracy given by the negative of the absolute forecast error and a binary variable that equals one if the respondent predicts an increase in the price of the portfolio or individual stocks and zero otherwise. We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.4: Impact of Information Treatments on Willingness to Support Policies

	(1) Any Donation	(2) Donation Amount	(3) Police Wellness	(4) Police Reform	(5) Reduce Scope Police	(6) No Support
Narratives Only (N)	-0.000955 (0.0290)	0.0745 (0.171)	0.0249 (0.0255)	-0.0183 (0.0204)	-0.00754 (0.0209)	0.000955 (0.0290)
Products Only (P)	-0.0245 (0.0292)	0.0480 (0.173)	0.0256 (0.0257)	-0.0319 (0.0200)	-0.0182 (0.0207)	0.0245 (0.0292)
Narratives and Products (N+P)	-0.00103 (0.0288)	0.0826 (0.170)	0.0199 (0.0256)	-0.0177 (0.0204)	-0.00324 (0.0210)	0.00103 (0.0288)
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.56	2.36	0.25	0.15	0.15	0.44
Observations	2346	2346	2346	2346	2346	2346

Notes: This table presents the impact of exposure to product and narrative information related to policing on donations and support for different policies among nonexperts. We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.5: Heterogeneity Analysis: Likelihood of Predicting a Price Increase, Nonexperts

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
	Female	Male	White	Nonwhite	Age: 18-34	Other Age	Check Invt. Weekly	Does not Check Invt. Weekly	Liberal	Conservative
Narratives Only (N)	0.0102 (0.0331)	0.0515* (0.0307)	0.0454* (0.0272)	0.00123 (0.0409)	0.00878 (0.0337)	0.0461 (0.0302)	0.0432 (0.0383)	0.0237 (0.0281)	0.00478 (0.0311)	0.0599* (0.0326)
Products Only (P)	0.339*** (0.0390)	0.311*** (0.0344)	0.332*** (0.0301)	0.297*** (0.0510)	0.259*** (0.0404)	0.363*** (0.0335)	0.295*** (0.0434)	0.335*** (0.0323)	0.251*** (0.0356)	0.406*** (0.0371)
Narratives and Products (N+P)	0.365*** (0.0386)	0.325*** (0.0343)	0.370*** (0.0308)	0.284*** (0.0464)	0.299*** (0.0405)	0.372*** (0.0332)	0.366*** (0.0447)	0.331*** (0.0314)	0.315*** (0.0355)	0.376*** (0.0369)
Sample	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts
Portfolio Forecast	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (0)	0.15	0.17	0.17	0.16	0.15	0.18	0.15	0.17	0.19	0.14
Observations	1028	1318	1689	657	935	1411	807	1539	1248	1098

Notes: This table reports the heterogeneity in the treatment effects for the nonexpert sample. The dependent variables are measures of accuracy given by a binary variable that equals one if the respondent predicts an increase in the price of the portfolio or individual stocks and zero otherwise. Each column shows the results for a different subsample across five characteristics (gender, race, age, investment patterns, and political leaning). In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.6: Heterogeneity Analysis: Likelihood of Predicting a Price Increase, Finance Professionals

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	Female	Male	White	Nonwhite	Age: 18-34	Other Age	Check Invt. Weekly	Does not Check Invt. Weekly
Narratives Only (N)	-0.139 (0.104)	-0.0387 (0.0666)	-0.0235 (0.0630)	-0.167 (0.142)	-0.0575 (0.202)	-0.0584 (0.0599)	-0.0591 (0.0986)	-0.0543 (0.0700)
Products Only (P)	0.362*** (0.133)	0.364*** (0.0690)	0.371*** (0.0673)	0.292* (0.150)	0.397 (0.403)	0.357*** (0.0629)	0.311*** (0.0950)	0.384*** (0.0797)
Narratives and Products (N+P)	0.449*** (0.136)	0.181** (0.0708)	0.297*** (0.0694)	0.0654 (0.149)	-0.0113 (0.353)	0.252*** (0.0648)	0.103 (0.100)	0.347*** (0.0803)
Sample	Finance	Finance	Finance	Finance	Finance	Finance	Finance	Finance
Portfolio Forecast	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (0)	0.22	0.31	0.26	0.42	0.30	0.29	0.38	0.23
Observations	95	372	378	89	28	439	203	264

Notes: This table reports heterogeneity in the treatment effects for the finance professional sample. The dependent variables are measures of accuracy given by a binary variable that equals one if the respondent predicts an increase in the price of the portfolio or individual stocks and zero otherwise. Each column shows the results for a different subsample across four characteristics (gender, race, age, and investment patterns). We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.7: Heterogeneity Analysis by Preferences: Likelihood of Predicting a Price Increase

	(1) Police is Unethical	(2) Police is not Unethical	(3) More Regulation	(4) Less Regulation	(5) Police is Unethical	(6) Police is not Unethical	(7) More Regulation	(8) Less Regulation
Narratives Only (N)	0.0183 (0.0514)	0.0284 (0.0249)	0.0180 (0.0315)	0.0486 (0.0322)	-0.457* (0.255)	-0.0305 (0.0595)	-0.0972 (0.0888)	-0.00624 (0.0758)
Products Only (P)	0.227*** (0.0566)	0.350*** (0.0290)	0.328*** (0.0354)	0.312*** (0.0374)	-0.0252 (0.230)	0.372*** (0.0626)	0.280*** (0.0900)	0.425*** (0.0846)
Narratives and Products (N+P)	0.198*** (0.0569)	0.385*** (0.0287)	0.297*** (0.0360)	0.397*** (0.0361)	-0.0722 (0.244)	0.255*** (0.0637)	0.235** (0.0934)	0.268*** (0.0858)
Sample	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Finance	Finance	Finance	Finance
Portfolio Forecast	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (0)	0.24	0.14	0.18	0.14	0.67	0.27	0.36	0.22
Observations	591	1755	1256	1090	28	439	222	245

Notes: This table reports heterogeneity in treatment effects for the finance professional sample. The dependent variables are measures of accuracy given by a binary variable that equals one if the respondent predicts an increase in the price of the portfolio or individual stocks and zero otherwise. Each column shows the results for a different subsample across respondents' views of the policing industry as an unethical destination for investment and preferences related to regulation. We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.8: Categories of Reasoning Behind Price Predictions

Category	Description	Example
Less Trust	Responses related to an emotional response leading to loss of trust or a desire to hold the police accountable. These response may be vague or not describe a precise mechanism for how stocks actually fall	“Faith in the police would have been negatively impacted after this event. As such, the companies would have likely decreased in share price by a decently sizable amount.”
Budget Cut	Responses related to protests, riots, or general unrest. Responses should specifically reference the resources required to deal with protests.	“There might be a cutback to city budgets in response to the protest. This would cause police departments to purchase less products and services being offered by these companies.”
Reputation	Responses related to ethical issues, divestment, environmental and reputational concerns. Boycotts of companies should also be included. Companies’ distancing themselves from the police should also be included.	“The companies that were associated with police departments would be socially chastised. In this case, I predict that the stock options would decrease in value.”
Protest	Responses related to protests, riots, or general unrest. Responses should specifically reference the resources required to deal with protests.	“There are a lot of protests after the incident, which will encourage the police to purchase more anti riot equipments.”
Crime	Response related to how crime will be impacted by the events or impacts on crime not directly related to protests or unrests (e.g., violent crime, property crime, need for more surveillance). This could also include public fears of more crime.	“I imagine that the value would increase, because uprisings and civil unrest seem to feed into narratives about crime and lawlessness. A state response to that, often, is to funnel more resources toward policing and military. Since the companies in the portfolio produce material goods for policing, I predicted an increase.”
Reform	Responses related to calls for investment in police reform with a demand for police accountability tools: training, body-worn cameras, etc.	“Pressure on police departments to do more training, have more body-worn cameras, purchase more surveillance equipment would tend to cause the stocks of the companies providing these products and services to increase.”
Police Support	Responses discussing how support for police actually increases after the killing of George Floyd. This includes discussion of how pro-police groups (e.g., Blue Lives Matter or All Lives Matter) gained traction as a backlash to Black Lives Matter (BLM).	“I would hope it would go down, but I suspect it would have gone up because a large section of the population felt the police were justified in the murder. The police were getting an immense amount of support by the ‘Blue Lives Matter’ folks.”
Unspecified Demand	Responses suggesting that demand for the products in the portfolio will change (either up or down). However, the types of products demanded are not specified.	“The product are more in demand. Because of that I think the stocks will go up.”
No Impact	Responses that suggest the event did not have any impact on stock price movement.	“The police were not defunded. The companies contracted to police departments held their ground and their worth remained the same.”
Unclear	Responses that cannot be classified. These could also be clear narratives that do not fit into the categories.	“I think that the stocks will go up.”

Notes: This table provides details of the different categories of reasons mentioned by respondents to explain their predictions with descriptions and examples related to our coding scheme.

Table A.9: Impact of Information Treatments on Reasoning Cited by Nonexperts

	(1) Less Trust	(2) Budget Cut	(3) Reform	(4) Unclear	(5) Unspecified Demand	(6) Reputation	(7) No Impact	(8) Protest	(9) Crime	(10) Police Support
Narratives Only (N)	-0.103*** (0.0262)	0.0898*** (0.0216)	0.0410*** (0.0109)	0.00487 (0.0273)	0.0103 (0.00791)	-0.0553*** (0.0206)	0.0133 (0.0157)	-0.0348*** (0.0128)	-0.00744 (0.00607)	0.0136 (0.0108)
Products Only (P)	-0.148*** (0.0253)	-0.0144 (0.0188)	0.168*** (0.0168)	-0.0819*** (0.0260)	0.0587*** (0.0117)	-0.0874*** (0.0197)	-0.0123 (0.0145)	0.0901*** (0.0184)	0.0170* (0.00870)	-0.00866 (0.00894)
Narratives and Products (N+P)	-0.210*** (0.0239)	0.0734*** (0.0211)	0.202*** (0.0176)	-0.0319 (0.0268)	0.0898*** (0.0134)	-0.121*** (0.0184)	-0.0279** (0.0134)	-0.00580 (0.0143)	0.0108 (0.00815)	0.00640 (0.0103)
Sample	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts	Nonexperts
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.33	0.12	0.02	0.31	0.01	0.17	0.07	0.07	0.01	0.03
Observations	2346	2346	2346	2346	2346	2346	2346	2346	2346	2346

Notes: This table presents the impact of exposure to product and narrative information related to policing on the reasons mentioned by nonexperts for their predictions. The dependent variable equals one if the respondent provided a reason associated with the respective category and zero otherwise. Table A.8 provides details of the categories with descriptions and examples related to our coding scheme. We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., individuals receiving no information.

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.10: Impact of Information Treatments on Reasoning Cited by Finance Professionals

	(1) Less Trust	(2) Budget Cut	(3) Reform	(4) Unclear	(5) Unspecified Demand	(6) Reputation	(7) No Impact	(8) Protest	(9) Crime	(10) Police Support
Narratives Only (N)	-0.0310 (0.0353)	0.0394 (0.0510)	-0.00472 (0.0340)	0.139** (0.0650)	0.0245 (0.0283)	-0.00628 (0.0252)	-0.0847* (0.0447)	-0.0991*** (0.0273)	-0.0166 (0.0177)	0.0353* (0.0209)
Products Only (P)	-0.0534 (0.0360)	0.0571 (0.0516)	0.196*** (0.0481)	-0.0636 (0.0613)	0.0802** (0.0339)	-0.0497** (0.0212)	-0.136*** (0.0431)	0.0100 (0.0383)	0.00405 (0.0206)	-0.00106 (0.0121)
Narratives and Products (N+P)	-0.0553 (0.0359)	0.0462 (0.0511)	0.0231 (0.0369)	0.121* (0.0644)	0.0631* (0.0325)	-0.0359* (0.0208)	-0.0757* (0.0449)	-0.0600* (0.0314)	-0.0145 (0.0173)	0.00747 (0.0149)
Sample	Finance	Finance	Finance	Finance	Finance	Finance	Finance	Finance	Finance	Finance
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Mean of Dep. (O)	0.10	0.16	0.08	0.35	0.03	0.04	0.18	0.10	0.03	0.01
Observations	467	467	467	467	467	467	467	467	467	467

Notes: This table presents the impact of exposure to product and narrative information related to policing on finance professionals' reasoning. The dependent variable equals one if the respondent provided a reason associated with the category and zero otherwise. Table A.8 provides details of the categories with descriptions and examples related to our coding scheme. We report robust standard errors in parentheses. In addition, we report the mean of the dependent variable of the omitted category, i.e., respondent receiving no information. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.1$.

Table A.11: Survey Completion Rates

	sample	N solicited	N opened	N consented	N completed	% opened	% complete	% completed given opened
1	Finance	53252	398	356	180	0.7	0.3	45.2
2	Law	50632	222	202	109	0.4	0.2	49.1
3	Police	23810	117	101	46	0.5	0.2	39.3
4	Other academic	2356	115	106	55	4.9	2.3	47.8
5	Finance experiment	204494	1212	1101	467	0.6	0.2	38.5

Notes: This table reports the survey completion rates from email solicitations for various expert groups. *N solicited* corresponds to the total number of emails sent. *N opened* corresponds to the number of email recipients who clicked the link to participate in the survey. *N consented* corresponds to the number of participants who consented to participate in the survey, and *N completed* corresponds to the total number of participants who completed the survey and passed both a comprehension check and an attention check. *% opened* is equal to $100(N\text{ opened}/N\text{ solicited})$. *% complete* is equal to $100(N\text{ completed}/N\text{ solicited})$. *% completed given opened* is equal to $100(N\text{ completed}/N\text{ opened})$.

Table A.12: Summary Statistics

	All Respondents	Community Organizers	Nonexperts	Police	Finance	Law	Other Academics
Female	0.37	0.71	0.53	0.19	0.20	0.28	0.35
Born in the U.S.A.	0.78	0.87	0.72	0.92	0.65	0.92	0.89
White	0.72	0.56	0.61	0.69	0.77	0.88	0.72
Age: 18 to 34	0.23	0.49	0.50	0.04	0.10	0.01	0.13
Age: 55+ or missing	0.57	0.47	0.36	0.58	0.64	0.78	0.59
Check Investment Weekly/Daily	0.24	0.09	0.22	0.12	0.35	0.27	0.19
Response Time:							
0-6 min	0.14	0.09	0.30	0.04	0.08	0.05	0.11
7-13 min	0.52	0.53	0.50	0.58	0.51	0.50	0.56
14+ min	0.35	0.38	0.19	0.38	0.41	0.45	0.33
Observations	511	45	139	26	143	104	54

Notes: The table presents means of the covariates for respondents by category of expertise.